

Block**2****NEW PRODUCT DEVELOPMENT AND
IMPLEMENTATION**

UNIT 5**Organizing for New Product Development 71**

UNIT 6**Generation, Screening and Development of New
Product Ideas 82**

UNIT 7**Concept Development Testing and Physical
Development of the Product 101**

UNIT 8**New Product Launch 118**

BLOCK 2 NEW PRODUCT DEVELOPMENT AND IMPLEMENTATION

Ideas come in all directions, but the ability to screen and gauge the most appropriate and viable ideas and developing them into technically and commercially feasible product is the essence of this block.

The first unit explains how the responsibility is assigned within a firm for undertaking development of new products. It discusses the organizational actions, and decisions that are taken to facilitate new product development.

The second unit of this block takes you through the concept generation methods, evaluation of these concepts and concept testing to foresee the feasibility for Implementation.

The third unit is the extension of the first unit wherein the concept will be converted into physical form and includes a wide range of activities commencing from planning stage of physical development to testing of the product for acceptance and subsequent implementation.

The last unit on product launch is the most vital and crucial. All the issues pertaining to the marketing mix, the marketing plan of the new product offering are vividly addressed for a successful full scale launch of the new product.

ignou
THE PEOPLE'S
UNIVERSITY

UNIT 5 ORGANIZING FOR NEW PRODUCT DEVELOPMENT

Objectives

After going through this unit you should be able to:

- explain how responsibility is assigned for undertaking development of new products
- discuss the organizational actions, commitments and decisions are taken to facilitate
- new product development
- how organizations justify the setting up of new product development units
- suggest alternative organizational patterns for new product development.

Structure

- 5.1 Introduction
- 5.2 Setting Responsibility for New Product Development
- 5.3 Structural Units for New Product Development
- 5.4 Function of the New Product Development Units
- 5.5 Summary
- 5.6 Self-Assessment Questions
- 5.7 References/ Further Readings

5.1 INTRODUCTION

Most of the new products are new in limited ways. New colors are introduced, new ingredients are added, and capacity increased by says 25% are not major innovations. Yet, these slightly or somewhat new products account for may result in significant increase in revenues and profits. They are often the responsibility of a product, brand, or a category manager.

The development of new products occurs in stages. At each stage the product is evaluated to determine whether it will make sense to proceed to the next stage. While this approach works well for slightly new products, it is too simplistic and difficult to apply for really new in class products.

Planning and coordinating new product development activities involve almost every functional area in an organization. It requires that new product development effort is properly coordinated, it is essential that a well thought out organizational structures are designed around the day-to-day activities needed to be performed to ensure smooth operations and these are carried out effectively and successfully. Managers in each functional area such as marketing, R&D, operations, and finance, therefore concentrate on meeting laid down objectives and solving current problems.

Despite the fact that the future is uncertain, yet current day to day problems easily take away focus from the future. But the long-range survival of the firm requires that new products be developed.

The Booz, Allen, and Hamilton study of new product introductions suggests that the organizations which encounter the major success in new product introductions are the ones that have given the great emphasis on organizing for developing those products.”

Setting up an organizational form for new product development involves the following related issues:

- I. Who will be responsible for new product development?
- II. What are the tasks to be accomplished?
- III. How are the tasks to be performed?

In other words, organizing for new product development implies establishing responsibility for carrying out new product development, and, also creating special structure(s) to handle such an activity -- along with the functions to be performed by new product development units.

5.2 SETTING RESPONSIBILITY FOR NEW PRODUCT DEVELOPMENT

Responsibility for developing new product can be set at the corporate level, the divisional level, or the operational level. Let us discuss these levels accordingly.

New Product Development at the Corporate Level

Involvement of the top management in new product development depends upon the importance that has been assigned to new products in the overall organizational strategy. Corporate level new product department is feasible and appropriate when the objective is 'to develop new markets or products that are not in the firm's existing lines of business and when the outputs of various divisions have similar technologies and markets. The nature of a company's business (and its future business) conditions the top management support. A company that is operating in a sector characterized by slow change has innovation playing only a minor role in its performance and therefore, delegates new product development to lower level executives. On the other hand, a firm operating in a fast changing environment, for example, pharmaceutical, electronics and chemicals etc depends on innovation to achieve competitive advantage and has involvement of higher-level executives to undertake new product development.

Operating divisions normally get into development into unfamiliar fields as they fall outside main line of business. Divisions seldom allocate resources to venture into sunrise areas unless the task is taken up at the corporate level.

Figure 1 is one possible way to depict an organization assigned with responsibility for new product development considered at the corporate level.

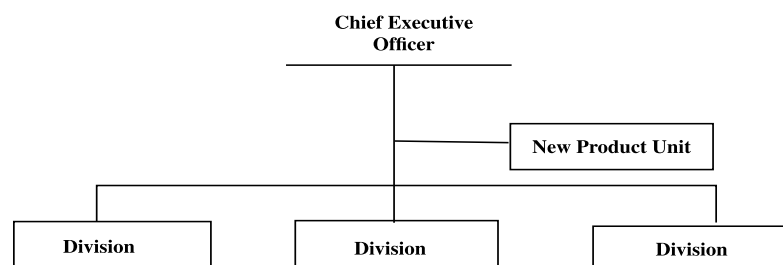


Figure 1

There are both advantages and disadvantages of having new product development responsibility taken up at the corporate level.

Advantages

- ✓ Greater effectiveness and control of innovative activities - centralized research units are usually larger than the scattered; decentralized units

attached to divisional operations, and the larger size permits hiring of more specialized, technical staff well equipped to handle a wider array of problems.

- ✓ Insulation from the daily pressures and crisis atmosphere - reporting directly to the CEO, the new product unit has a direct line of communication to top management. Its proximity to the top management keeps it protected from the daily routines and possibly accompanying crises that affect the operating personnel.

Disadvantages

- No response to the urgencies of the market place - its isolation from the day-to-day work pressure of operations makes the corporate level new product unit unresponsive to the immediate needs of the market. A request for all possible haste can easily be shrugged off as frantic behavior of nervous salesmen.
- Organizational and spatial separation - the comparative isolation of the corporate level new product unit from operational divisions makes it necessary to integrate differentiated structures.

New Product Development at the Divisional Level

Divisional level responsibility for new product development is most likely when operating units have highly differentiated product lines.

Compared to the centralized approach, the divisional level effort makes new product development more aligned with the exigencies of business. An organization with new product-development responsibility at the divisional level is depicted in **Figure 2**.

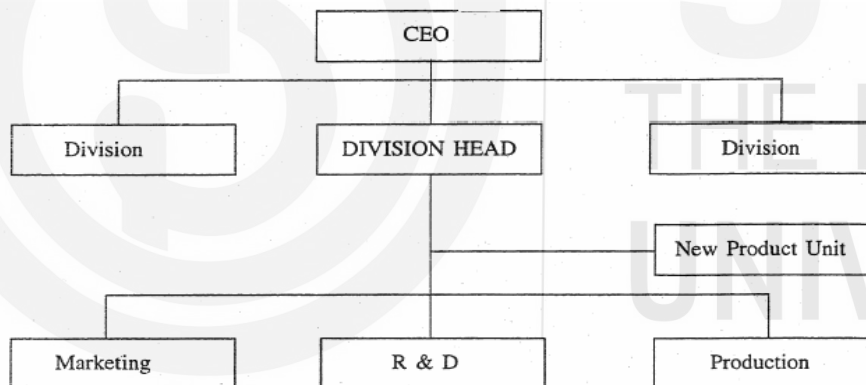


Figure 2

As in Figure 1, here also the new product unit is conceived of as a staff function and normally reports to the divisional head. This arrangement is deemed most appropriate when new product development is likely to involve relatively large budgets with prolonged periods of development.

A new product development unit at the divisional level in many ways encounters the problems as at the corporate level.

Advantages

- ✓ The new product development effort is set apart from the day-to-day activities of operations; yet its connections with the changes with respect to current business may be quite intense.
- ✓ The job is only an arm's length away from top management which aids the integrative process and gives direction to the division.

New Product Development and Implementation

Disadvantages

- Separated from the operating level, the new product unit might be looked upon as comprising of elitist dreamers; which is likely to cause friction between the developmental and functional levels.
- Another difficulty possible is the contention that new product development is only a part of the firm's total product management and new products account for only a portion of the firm's products and markets; putting question mark as to why elevate new product development to a position of pre-eminence

New Product Development at the Operating Level

Responsibility for new product development anywhere, below the divisional level becomes associated with operational activity. A division usually contains many departments capable of managing the development of new products. Therefore, the assigning of responsibility, for new product development actually is the task of choosing one of the departments for developing new products. Thus, the assigning the responsibility for new product development tends to be dependent upon the existing organizational structure.

The new product development at operating level is largely dependent upon how a division produces and distributes its existing products as these are the basic tasks of a division and new products must adjust to them. Therefore, there are two options:

1. assign responsibility for new product development to one of the functional departments, say, marketing, or
2. assign it to product manager.

This is quite different from giving responsibility to a unit at the corporate or divisional level for they don't have basic functions that can accommodate new product development and new structures have to be created; whereas, at the operating level, the changes occur only in the way an operational unit functions.

Activity 1

Assume an FMCG firm having two product lines having four products each. What alternatives are available to the firm in terms of locating the new product responsibility?

.....

.....

.....

.....

.....

.....

.....

.....

New Product Development in Functional Department

The functional type of organization is the oldest and yet by far the most common. In the majority of cases, the assigning of responsibility for new product development is between marketing and research and development, with marketing being the most popular choice - as in **Figure 3**.

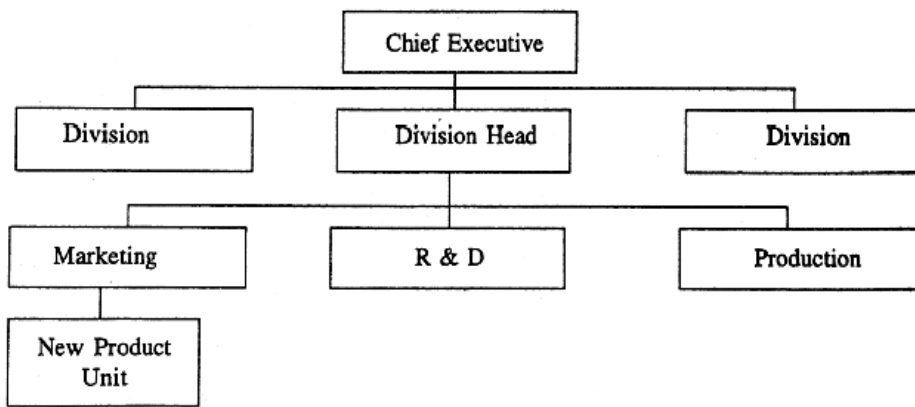


Figure 3

The biggest advantage in assigning new product development responsibility to marketing is that the marketing personnel are in a position to track trends in sales, prices, competitive actions, distribution, and services which are all very important in bringing a new product to commercialization. It is the marketplace that determines the success or failure of a new product.

The choice of marketing department has other advantages also, for a new product development program depends heavily on establishing long-term relationships with distributors and agents, especially when a new product is meant for markets not serviced by the company's regular distribution channels.

New product development in high technology arena is also greatly influenced by the components of a marketing program. Highly complex or custom-built equipment frequently require extensive servicing; installation, maintenance, and repair. This is true for most of the B2B products.

However, the greatest danger of putting marketing in charge of new product development is its short-term outlook, since its primary concern is current sales and generating large sales volume to achieve maximum market share.

The ongoing daily activities may influence the new product activity adversely. Since any new product usually starts out with low sales figures, a trade-off of current with future sales may tend to be perceived as a losing proposition.

Marketing personnel may face challenge when confronted with new products involving scientific concepts and complex technology. They may be unable to cope with and direct technological development and integrate advanced scientific thinking. If unable to keep up with the latest developments in research and technical design, even their response to customers may be delayed. This is why many industrial marketers recruit marketing personnel and sales force having engineering and technical background.

On the other hand, it is opined that placing responsibility for new product development with any department other than marketing - even in R&D - deprives the new development program a market-orientation. Personnel other than marketing lack market sense and sensitivity to the needs of customers. Unless purchasing behaviors of customers are analyzed and fully understood, the very basis for new product development may be faulty.

Activity 2

Study two progressive companies, one an FMCG and other a B2B goods manufacturer known to have a history of adding new products to their product line. Examine few of their earlier ventures. What has been the location of new product responsibility? What has been the division of activities/responsibility between marketing and R&D department? What

New Product Development and Implementation

according to you are the reasons for the respective location of the new product responsibility?

New Product Development Responsibility of Product Manager

This type of arrangement is usually made when a rapid proliferation of products creates a burden too heavy for the chief marketing executive and other marketing personnel.

Responsibility is assigned to brand manager directly, e.g., in ITC, in case of its traditional product cigarettes and other new product categories introduced by the company such as apparels, confectionary and lately personal care.. It represents a case of extreme decentralization. One such organizational form for a consumer goods division is shown in Figure 4. This type of organization structure is called 'product management system'.



Figure 4

In many instances new product development other than modification/ extensions of existing lines may initiate elsewhere within the organization but, later on are assigned to the product manager.

The product manager in a consumer goods company tends to handle fewer products compared to his industrial counterpart. Companies with multiple brands have separate product manager for each brand, called brand manager. The product managers may also be responsible for a product category or a group of products rather than only a brand. For example, in case of Amul, there are product managers each for milk, ice cream, and other categories. With a slight variation in the position - designations in Cadbury India Ltd., have vice-president (foods - biscuits and ice creams, and vice-president (confectionery - chocolates with a marketing manager under hire.

The biggest advantage of one manager for each brand is that a new product is assigned to one manager who devotes his/her full time in planning and coordinating the new offering. He/She would work to obtain a satisfactory outcome, for his/her success depends upon the brand's performance.

At the same time, the multiplicity of brands and lines may force companies to hire young, inexperienced persons as product managers and, who are unwilling to take risks. The product manager's job may involve only gathering information, communicating plans for approval, and monitoring performance.

In consumer goods, a product manager's greatest concerns are distribution and promotion for they constitute the means of moving goods. While in case of the product manager for industrial goods is unable to ignore technical and design features. He has to consult with engineers and technicians just as frequently as with marketing people. That is to say, in new product development, the product manager (industrial goods) is more likely to be in an intermediary position between technical and marketing divisions, and, thus, can be more effective in integrating diverse functions. This integrative role is far more necessary in industrial than in consumer goods.

A matrix form of organization is another alternative for assigning responsibility for new product development. This form is the result of adding marketing managers to the product management system. The marketing manager is concerned with all products moving into the market over which his responsibility extends market; such as industrial goods', consumer goods" or a geographic area. The product manager looks after the product distributed and promoted in all markets. Such a matrix is shown in Figure 5.

PRODUCT MANAGER	MARKETING MANAGER		
	Market1	Market2	Market3
Product A			
Product B			
Product C			

Figure 5

New products can be developed and introduced by either the product manager or marketing manager. The matrix form is most effective when specific products or groups of products can be targeted to different markets. Consequently, each product manager, in effect, divides responsibility with each marketing manager 'in a product-market segment.

The matrix form of organization lends itself to checks and balances. The system involves duplication of effort, conflicts of interest, problems in communication, and other general difficulties of managing.

5.3 STRUCTURAL UNITS FOR NEW PRODUCT DEVELOPMENT

In small companies, new product development is often handled by the existing units. There is not much change in the day-to-day functions except that the company may have more personnel and more products, but large firms regard new product development as an on-going activity and organize specific measures to carry it out.

To set up the organization for new product development, the large companies either rely upon the existing functional units or create entirely new structures.

The most common organizational units established especially for new product development, are 'new product departments', 'new product committees', 'ad hoc committees', 'venture teams', and 'task forces'.

These five formations can be differentiated on the bases of status-permanent or temporary - division, or operations.

Putting the five forms by permanency status and the responsibility level, we can have eleven possible structural units.

Only new product department and new product committees are permanent in status. Also, the new product departments can be at all the three responsibility levels namely corporate, division and operations. But, the new product committees are generally only at the corporate and division levels.

From among the temporary structural units, the ad hoc committees are possible at all the three responsibility levels; the 'task forces' at the division and operations levels; and the 'venture teams' only at the corporate level. Figure 6 depicts all the relevant possible new product development units.

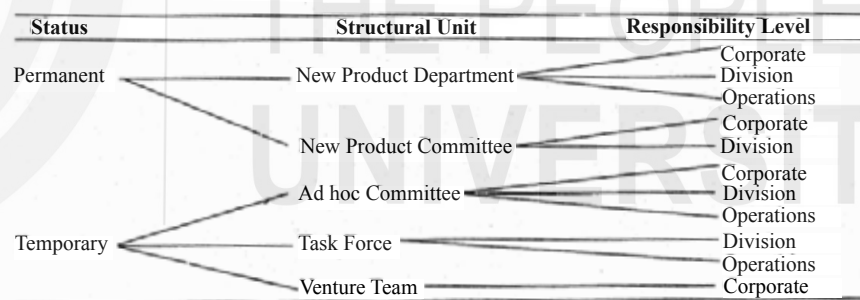


Figure 6

Each of these unit configurations is unique and can be identified by its characteristic features.

New Product Department

This is a unit can either at the corporate, divisional or operational level.

At the corporate level, this unit is positioned to serve all the divisions within the company and reports to top management. It is often the largest, single unit in the company dealing with new product development. It has permanent, full-time staff, consisting of both technical and non-technical personnel. Firms that need a vital role of technology in their new product development efforts may attach a experimental laboratory to this unit.

At the divisional level, the unit initiates and coordinates new product development for a division's product lines. It may be a centralized unit reporting to a divisional manager (in case when the unit itself is of a division

stature), or a new products unit may be attached to each division. This unit is usually staffed with permanent, full- time managers who may fall back upon the services provided by functional areas.

At the operational level, the new product department reports to the head of a specific product group. It is usually a one-person department - a manager who usually works alone. Such a unit is most desirable when a quick response to the needs of individual product lines is required. It is closer to operations and the new product manager depends upon the functional units of the division to carry out all projects.

New Product Committee

It is usually at either the corporate or divisional level. Therefore, it has a permanent status. It comprises of members from different parts of the organization who do not work full-time on new product development activity. Still, the committee has continuity and, at times, has responsibilities similar to those of a new product department, but its role is advisory.

Ad hoc Committee

Such units are set up to pursue specific tasks. They may exist at every level - corporate, divisional and operations. They are composed of specialists needed to manage certain aspects of new product development activity, such as brainstorming (to generate new product ideas), screening, coordinating test marketing, etc. The committee operates on a part-time basis. After completion of the task, it is dismantled. Thus, it is only temporary in status, and lacks continuity.

Task Force

A task force is established to perform both integrative and coordinating functions. This is a special unit of specialists which works directly with the functional areas. It exists only till the life span of a project. Thus, this unit is also temporary in status. It is usually formed at the divisional or the operational level.

Venture Team

This structural unit, usually established at the corporate level, is a small interdisciplinary group which works full-time on a specific mission. It usually handles projects different from that of current product lines. When ventures are completed, they are a part of the operations either as new divisions or as parts of the existing ones. The venture team is a temporary arrangement, discontinued on conclusion of venture or failure of a project.

5.4 FUNCTION OF THE NEW PRODUCT DEVELOPMENT UNITS

Essentially, when different types of structural units participate and share responsibility in new product development, each may look after a separate function. But, in practice, all types take part in the developmental sequence with varying extent of involvement. For example, the following table shows that the new product department has a high involvement in the screening of new product ideas compared to a task force or venture team. While as in commercialization of new product, the involvement of a venture team is as much as that of a new product department.

New Product Development Stage	New Product Department			Committee, New Product/Adhoc	Task Force	Venture Team
	Corporate	Divisional	Operational			
Screening	H	H,	H	M	L	L
Scheduling/ Budgeting	H	H	M	L	M	M
Product Moog	M	M	L	L	L	M
Test Marketing	N1	14	NM	L	L	L
Commercialization	M	M	M	L	L	M

H: 80% or more involvement, M: 50% to 70% involvement, L: Less than 50% involvement

Activity 3

List out the various units you are familiar with or units which are close to you. Study the responsibility for new product development has been set in them corporate, divisional, or operational levels. Then complete the forming matrix.

Industrial Unit	New Product Development at		
	Corporate	Division	Operations

A) Now, Complete the following sentences?

- In case of industrial products, new product development responsibility is set at the level.
- In case of consumer non-durables, new product development responsibility is set at we level.
- In case of consumer durables, new product development responsibility is set at the level.
- In case of services, new product development responsibility is set at the.....level.

Activity 4

Develop a table - as given in above on the industrial units studied in, activity 3(A).

5.5 SUMMARY

New products rarely get the attention they deserve without explicit organizational arrangement and proper planning though product ideas may occur spontaneously and anywhere, within and outside the organization, their conversion into successful products needs a champion and organizational support.

The location of responsibility for new product development may vary from organization to organization both in terms of levels and units. This unit discusses the advantages and disadvantages of the different organizational arrangements for new product development and also explains the concept of product development units as an alternative to traditional organizational arrangements.

5.6 SELF-ASSESSMENT QUESTIONS

- 1) What are the factors that determine the decision to offer new products by the marketer?
- 2) Do small firms that manufacture one or two products need to be concerned about developing and managing new products? Why or why not?
- 3) When is it more appropriate to assign a marketing manager than an R&D manager for new product development?
- 4) How do skills needed to manage a new product differ from those used to manage an existing mature product?

5.7 REFERENCES/FURTHER READINGS

1. Cardozo, R, Product Policy: Cases and Concepts, Reading, Mass: Addition Westey.
2. Yoga J. Wind, "Product Policy" Concepts, Methods, and Strategy.
3. New Products Management for the millenium, (NY: Booz, Allen, and Hamilton, Inc.,1982)
4. Product Management, Lehmann Donald R, Winer Russel S., Tata McGraw Hill.

Online Resources:

1. Organizing innovation and new product development <https://www.youtube.com/watch?v=uCVetZE3GIM>
2. Product Development explained <https://www.youtube.com/watch?v=2TEGqqUuaYA>

UNIT 6 GENERATION, SCREENING AND DEVELOPMENT OF NEW PRODUCT IDEAS

Objectives

After reading this unit you should be able to:

- discuss the various techniques used for generation of new ideas
- describe the sources of new product ideas
- evolve and evaluate criteria for screening of new product ideas
- explain the different methods of screening new product ideas
- explain the development of a new product idea into a product concept.

Structure

- 6.1 Introduction
- 6.2 Innovation and the New Product Development Process
- 6.3 Generation of New Product Ideas
- 6.4 Sources of New Product Ideas
- 6.5 Methods of Generating New Product Ideas
- 6.6 Screening of New Product Ideas
- 6.7 Criteria for Screening New Product Ideas
- 6.8 Development of New Product Ideas
- 6.9 Summary
- 6.10 Self-Assessment Questions
- 6.11 Reference/ Further Readings

6.1 INTRODUCTION

New product development shapes a company's future. Improved or replacement products can maintain or increase market share; new in class products can transform industries and companies. But the low success rate of new products and services points to the many challenges faced by companies.

Marketers are playing a key role in the development of new products by identifying and evaluating new product ideas and working with R&D and other areas in every stage of development. A product that one uses today was just an idea some time ago. Product idea may be developed based on creative insight. It is the creative idea that gets translated to the new product opportunity eventually. Sometimes, creative thinking and a crude prototype may influence new product development.

6.2 INNOVATION AND THE NEW PRODUCT DEVELOPMENT PROCESS

Sometimes, innovations are by accident or serendipity, such as the vulcanization of the rubber process -- discovered when a rubbery mixture was spilled on a hot stove: The world's first and, perhaps, the only floating soap, Ivory, was just made when a mechanical mixer was left on overnight and whipped up raw soap materials into a lightweight cleanser. Necessity,

However, these days, when innovations call for sizable financial investments and other resources for support and commercialization, most innovations come from serious research and development efforts undertaken with the support of formal organizations.

The standard new product development process model comprises the following stages:

- This unit primarily deals with the first three stages, i.e., Generation, Screening, and Development of New Product Ideas.*

Study the new product development function of two organizations that you are familiar with; one from FMCG sector and another from B2B sector. Analyze whether the new product development process was initiated.

- [illegible]

There are a number of idea generation techniques at the marketer's disposal. Each technique has its advantage and disadvantages, but no technique is superior to others. Although all firms should strive for an orderly, market-directed approach, they are constrained by individual situations. Companies should adopt those idea-generation techniques which are most compatible with their corporate goals and the circumstances. Corporate product objectives, financial status, personnel and plans for future growth may all affect this decision.

Large, firms with market research departments might find rigorous benefit-structure analysis a viable alternative, and maximize their investment using it. Smaller, poorer firms may have to make do with less elaborate research and more individual creativity; perhaps through brainstorming or transfer analysis.

Finally, one should note that some of these techniques might be used simultaneously for effectiveness. We can see how conjoint analysis complements benefit-structure analysis. Is it that the psychological freedom of brainstorming enhances a technique like attribute listing, the firm which defines its product in similarly broad terms? Conjoint analysis might be of use in converting a vague product idea into a product concept acceptable to the market. Clearly, a creative approach is needed for the creative process.

Why are the following products emerging now and how far do you think they are likely to go

- [illegible]

6.4 SOURCES OF NEW PRODUCT IDEAS

The research for ideas is not random. The corporation itself can serve as a guide for exploration. The organizational plan can be used to seek directions in the most likely and desirable areas in which to look for new product ideas. That is to say, to begin with, there are host of possible new product idea sources within the company, such as company sales people, scientists (employed in R&D), top management, etc.

As such, all employees of a company are potential sources of new product ideas. But some are more productive than others. For example, marketing, sales, and technical research personnel are generally the main originators of new product ideas.

Sources for new product ideas exist outside the company also. These external sources are numerous, such as customers, competitors, channel members, but the firms differ greatly as to where they concentrate their efforts for outside assistance and the extent to which external ideas are sought after and used.

Table 6.1 summarizes the major sources of ideas both inside and outside the company.

Table 6.1

Inside Company Sources

Sales personnel
Marketing personnel
Research and Development
Top management
Operations department
Purchase department
Customer service division
Employee feedback system

Outside Company Sources

Customers
Competitors' products
Global products
Consultants
Advertising agencies
Researchers/Inventors
Distribution channels
Publics-unexpressed ideas

6.5 METHODS OF GENERATING NEW PRODUCT IDEAS

New product ideas can be generated both directly and indirectly. Both approaches can be undertaken simultaneously and can vary from highly structured, loosely structured to unstructured procedures.

Direct methods rely heavily upon the creativity of individuals as well as groups and the consumer survey data for the techniques, e.g., Forced Relationships, Transfer Analysis, Brainstorming, Motivation Research, Market-gap Analysis, Multi- dimensional Scaling, etc.

Indirect methods refer to the 'synthetic' methods, methods that are used for other purposes but, with little ingenuity, they can be employed just as well in exploration. For example, Quadrant Analysis and Magnitude Estimation have been used in product testing. Consumer Engineering integrates the processes and results of exploratory consumer studies, such as Focus Group Interviews (which throw up clues to consumer needs and problems; and their solutions) and technological forecasting techniques, such as Delphi.

Table 6.2 summarizes both the direct and indirect methods of generating new product ideas

Table 6.2

Direct Methods			Indirect Methods
Individual Techniques		Group Techniques	
Morphological Analysis	Consumer Surveys		
Attribute Listing	Conjoint Analysis	Brainstorming	Consumer
Heuristic Ideation-Technique	Multi-dimensional Scaling	Focus Group Interviews	Engineering Estimation
Forced Relationships	Market-gap Analysis	Synectics	Quadrant Analysis
Transfer Analysis	Motivation Research		
	Problem Detection		
	Problem Inventory		
	User Solution Analysis		

Methods of generating new product ideas are numerous; but, as suggested by Father Mascarenhas, only some of these are suited to Indian conditions. They are:

- Attribute Analysis
- Heuristic Ideation Technique
- Benefit-structure Analysis
- Brainstorming
- Focus Group Interviews

We now discuss each of these methods below:

Attribute Analysis

By breaking down existing products into combinations of specific parts, benefits, or attributes, Attribute Listing (or Analysis) seeks to modify one or more of these to improve the whole product.

A common screwdriver, for example, can be broken down into the following:

- a round, steel shank
- a handle, manually operated
- wedged end to engage the slot in a screw
- torque provided by twisting action

A group/individual can be asked to propose attribute modifications to improve product appeal and/or performance. The round shank can be made hexagonal or slotted so that the hand has a better and firm grip or a wrench could be applied to get the increased torque; electric power could replace manual power; and so on.

Thus, in case of a company planning to bring out toothpaste, it may want to know a package of optimum level and combination of various attributes and benefits, such as:

- whitening of teeth
- breath freshening

One study suggested that useful ideas can be generated by posing following questions to an object and its attributes:

- put to other uses?
- adapt?
- magnify?
- reduce?
- substitute?
- rearrange?
- reverse?
- combine?

Activity 3

a) A Multi featured smartphone for upwardly mobile Professionals.



THE P
UNIV

There are some statistical methods, such as Method of Fractional Factorial Designs' which may help in this regard. But this cannot be accomplished without eliminating some very good ideas. One suggestion has been heuristics - rules of thumb developed from the past experience.

87

the many dimensions (such as package, cleaning instrument, objects to be cleaned, texture, etc.). The possible variations of this dimension are alcohol, ammonia, pine oil, scenting agent, deodorizing agent, disinfectant, etc. Table 6.3 shows how these variations are cross classified - in a matrix form - with the variations of another dimension, package.

Table 6.3

Ingredient	Product Package						
	Aerosol	Bag	Bottle	Box	Can	Jar	Tube
Alcohol	1	2	3	4	5	6	7
Ammonia	8	9	10	11	12	13	14
Pine Oil	15	16	17	18	19	20	21
Scenting Agent	22	23	24	25	26	27	28
Deodorizing Agent	29	30	31	32	33	34	35
Disinfectant	36	37	38	39	40	41	42

If there are six dimensions of a household cleaner being considered, then, in-all, there will be thirteen such, two-way cross classifications, each cell of which is a new product idea source. Certain cells can be eliminated as 'technically non-feasible'; e.g., in Table 6.3, alcohol and pine oil in tube and bag - cells 2, 7, 16, and 21. Similarly, some cells can be eliminated as 'commercially non-feasible'; e.g., cell 5.

After this feasibility screening, the remaining ideas can be checked for their 'novelty'. This will eliminate certain cells. Experts, believe that the 'feasibility' and 'novelty' tests can help eliminate almost 70 to 90% of the cells.

The remaining cells can further be checked for 'market potential' and 'manufacturing competence' of the firm. The required competence can also be developed if the idea is really new and potentially very rich.

A 'cost-benefit analysis' will, finally, show the feasibility of the remaining new product ideas.

To generate a composite new product idea through the interactive combination of cross-classification cells, let us consider all the dimensions of the earlier stated home cleaner again.

According to Alford and Mason, the following six dimensions can be identified, in case of a household cleansing agent:

- Type of cleaning instrument (1)
- Product ingredients (2)
- Objects to be cleaned (3)
- Package (4)
- Substances to be removed (5)
- Product texture (6)

Thus, a vacuum cleaner (1), such as "Euro clean", can be used to clean carpets (3) from dust (5) and, at the same time, may spray (4) into the carpet (3). a disinfectant and a cleaning shampoo (2) in a gaseous form (6) so that the carpet (3) is not only clean but also germ free (5). A similar apparatus (1), maybe designed to clean drapes and curtains and wall hangings (2).

Another variation, the Morphological Box, extends this technique of morphological analysis, HIT, to more than two dimensions. The more dimensions one adds, the greater is the number of ideas generated.

Activity 4

Use HIT for designing food packages for Business Class passengers for an Airline India.

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

Benefit-Structure Analysis

Another approach, similar to Attribute Listing, is Benefit-Structure Analysis proposed by Myers. This analysis begins with 25 to 50 in-depth individual or group interviews wherein the respondents are asked to recall all 'occasions' when a product class was used. The following questions are further asked for the desired results:

- What was the actual operation?
- For example, if the product is a household cleansing agent, then the 'occasion' is general cleaning but, the 'actual operation' can be kitchen floor cleaning.
- What products were used in this operation?
- for example, alcohol, ammonia, pine oil, or a disinfectant. If possible, the brand should also be mentioned, such as Colin, etc.
- What were the benefits sought from this operation?
- for example, removal of stains, disinfection, shine, or simple cleaning.
- What were the attributes of the product(s) used
- for example, strong pleasant/foul smell, quick drying, economical, abrasive, antiseptic, non-staining, contains deodorant, self-polishing, etc.
- What were the cleaning instruments used?
- for example, broom, brush, mop, sponge, or vacuum cleaner.
- When was the work done?

for example, morning, afternoon, evening, or night. Also required are the, duration of work', and 'persons worked with'.

Results obtained from this initial analysis can be used for a wider survey of housekeepers in the cities/metros. The generated data can be arranged in a multidivisional matrix, such as:

Operations x Product attributes desired x Product attributes received x Benefits desired x Benefits received x Brands used x Occasions x Other ambient characteristics x various supporting data.

Now, some more analyses are to be performed sequentially.

First, study the 'Product-by-Use' matrix-'product types' as rows and 'operations' as columns. This matrix will show what products are used for what all cleaning operations, which may help the marketer, see how the

New Product Development and Implementation

current products are being used and what are their substitutes/complements; and how some of the products are being converted from single-use to multi-use (or the other way round). Best of all, this matrix will give the relative frequency of various cleaning operations/tasks. If quantity/amount used' is also asked, a 'volumetric analysis' can also be made.

All this of information comprises new product ideas. Look for the gaps for which (cleaning) operation has no or a few products/brands available.

This matrix, in other words, gives one form of 'market structure' and what we look for are 'market gaps'. Therefore, this study is also known as 'Market-gap Analysis'

The second study to be made is for each 'benefit' across each 'brand' and each occasion' - 'Benefit-Deficiency Matrix' - for some benefits may be desired but not received, or received but not desired. This matrix may provide average deficiency for each brand. Study the frequency with which benefits are not received across each brand in the market. Analyze which brands have failed to provide the desired benefits the most and why. Study the brands which have delivered-the desired benefits the most. Also, consider possible additional usages/applications for the existing products.

All this can help conceive new products that deliver the exact combinations of benefits desired for a single operation/task, as well as for a group of related operations/ tasks.

Finally, constructing an 'Occasion-by-Operation-by-Ambient characteristic Matrix' may reveal demographic and sociographic patterns of product uses which may be required for positioning the product in the market segment correctly. It can help in isolating those respondents who desire a particular benefit or a cluster of benefits.

Activity 5

Study the new products that have been launched in the market in the last six months. For what type of products do you think benefit structure analysis can be used most effectively Apply it to any one of them.

.....

.....

.....

.....

.....

.....

Brainstorming

Brainstorming is a rather popular creative technique with a long track-record. It was first developed by Alex F. Osborn in 1938, and gained acceptance by the business world in the 1950s. Brainstorming aids in idea generation by encouraging the creativity latent in many of us. It originated as a management technique for groups charged with problem solving. Osborn feels that creativity is fostered in an informal meeting where participants are free to express any and all ideas they concoct.

Criticism is ruled out until the end of the meeting as this inhibits people from contributing ideas that might prove useful or at least stimulating to others. In this way, the participants should produce a greater number of ideas than if they worked along. Actually, brainstorming sessions are held when a company needs a lot many ideas.

The usual group consists of six to ten people. It is advised to avoid too many experts in the group as they may tend to look at a problem in a rigid way. The sessions should preferably be held in the morning and should last about an hour. The problem should be specific.

Briefly, the technique is executed as follows:

The chairperson of the brainstorming notifies the participants that the meeting is to be held -states the problem to be discussed, and gives them several days for preparation. Individuals are generally chosen for their creative talents and ability to work cooperatively and openly. In this regard, it is sometimes better to avoid using supervisors or too many specialists: these people could disrupt and/or dominate a session thus stemming creativity.

The discussion should take place in relaxing surrounding to help the participants loosen up. The chairperson addresses the problem at hand, and subtly keeps the ensuing discussion on the topic. To ensure creativity, the following "ground rules" are suggested:

1. **Do not permit evaluation of ideas:** Osborn feels that criticism at this stage only makes the participants more defensive and restrains their thinking.
2. **Encourage participants to think 'far out':** It is much easier to tame down wild ideas than to beef up insipid ones. The central purpose of brainstorming is to tap all of the participants' thoughts and experiences, 'far out' ones not excluded.
3. **Put emphasis on creating a large quantity of, ideas:** A large quantity of ideas should eventually produce a greater number of better quality thoughts. Also, the emphasis on quality damps tendency to evaluation.
4. **Encourage participants to modify or build upon the ideas of others:** Such hybrids are often superior to their predecessors as different perspectives are focused on a common solution.

Osborn has suggested the following questions to further probe the brainstorming group for generating real-value new product ideas:

1. Can you list some existing attributes of this product class?
2. Can you suggest new attributes? New uses? New ways?
3. Can these attributes be adapted? Does the past offer a parallel?
4. Can these attributes be modified with respect to 'meaning', 'colour', 'motion', 'sound', 'odour', 'forms', 'shape', etc.?
5. Can these attributes be magnified? What to add? Greater frequency? Stronger? Higher? Longer? Thicker? More durable? More value? Better quality? Duplicate? Multiply? Exaggerate?
6. Can these attributes be reduced? What to delete? Smaller? Condensed? Lower? Lighter? Cheaper? Tone down? Miniature version, actually.
7. Can these attributes be substituted? Other ingredients? Other processes? Other markets?
8. Can these attributes be rearranged? Interchanged? Other patterns? Other layouts? Other sequences? Other schedules?
9. Can these attributes be reversed? Upside down? Backwards? Opposites?
10. Can these attributes be combined? - A different blend? Another alloy? A new assortment? Different combine appeals? Combine objectives? Combine units? Combine uses?

In effect, it comes out to be an application of Attribute Listing approach in Brainstorming.

This procedure is continued until the group is drained of ideas. Some writers emphasize the value of pressing on for a few minutes when this point is reached, as fatigue is seen as a catalyst in releasing ideas. Some believe

that when minds are drained of ideas, a synthesis of these thoughts can take place.

The brainstorming technique has much to recommend it in generating new product ideas. It offers the potential of producing a great number of ideas in a relatively short time and at a very modest cost. However, not all companies enjoy success with brainstorming. Often failure results simply from the inability to correctly adhere to the ground rules of the technique. Dissatisfied executives have complained of participants not preparing for brainstorming sessions. Others cite problems with using members of different organizational rank in the same sessions. These failures cannot be blamed upon the technique itself.

Detractors of brainstorming feel the technique itself is invalid. Principally, many doubt the “synergistic benefits” attributed to these group sessions. For example, “You can’t put three individuals with 100 IQs together and expect to get the product of two persons with 150 IQs”*

The essence of brainstorming is the attempt to produce ideas in quantity via the freedom of expression which comes with the deferment of judgement. Thus defined, “brainstorming” is an individual as well as group technique.

In view of this, how should one handle brainstorming? Can the talents of a group be properly harnessed by this technique?

To salvage this potentially valuable tool from human foibles, several variations have been created. Once such variation is the “Buzz Group” created by Dr. J. Donald Phillips. Phillips theorised that aggressive individuals will tend to dominate group sessions and thus cause their colleagues to hold back. To prevent this from inhibiting the expression of ideas, he subdivided the group into clusters of six and allowed each group only six minutes to come up with an idea. This subdivision isolated the “bullies” somewhat, and the introduction of time pressure caused the “timid” to be more vocal.

As with group brainstorming, the reaction to the Buzz Group is mixed. Critics point out those six minutes is often not enough time for effective ideation.

Activity 6

Conduct Brainstorming exercises to generate ideas regarding:

- a) An approach to popularize use of public transport system.
- b) Benchmark for maintaining quality.

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

Focus Groups

The conducting of focus group interviews is very much like that of brainstorming. It is unstructured, to some extent, and it relies on the spontaneous interaction of the group. But the members of the group are consumers (rather than employees of the firm) and, usually, are decided on by a market research agency. That is to say, focus group interviews can be thought of as brainstorming with consumers/potential consumers.

As the name of the technique conveys, this type of group discussion focuses on some definite marketing/product aspect, such as a product's, characteristics, a brand name, and an advertising theme. The pivotal theme is necessary to keep the discussion revolving around the important questions or the issues. This also helps in cutting down the irrelevant and idle talk.

About eight to twelve potential and interested consumers can be invited to form a focus group. The group moderator's role is to lead the participants through an open and in-depth discussion on the subject area(s) in question in a non-directive and non judgmental manner.

This technique is widely used by advertising agencies for guidance in creating effective advertisements. It is often employed in the testing stages of new product development - both in concept and product testing - also. But, when focus groups are used to generate new product ideas, they present some basic conceptual difficulties. Mainly for, firstly, consumers can hardly be expected to invent products -- the need(s) may be latent and it may be difficult to conceive products which do not actually exist. If a typical consumer were asked about his entertainment needs in the early forties, he might not have an idea of picture screen, with sound right, there in his bed room, i.e., a TV or if, in the early sixties, consumers were surveyed about their needs in handling numbers, who would have suggested a hand calculator? In other words, at best, focus group interviews can be used effectively for the existing products and their problems.

These groups should also be protected from lack of representation and the poor quality of response. At times, samples are mainly composed of housewives easily available and outgoing with lot of time and inclination to participate in such an activity. The worse, if they are articulate too. They may try to impress the panel with their smartness and tend to act like experts. Thus, the results may be exploratory in nature and may not be generalized for the entire population.

Another difficulty possible is related to interpretations. Even though recorded - audio/ video - when analyzing a discussion, there may be as many interpretations as interpreters.

However, these points may not be valid when it comes to generating new product ideas, because the focus group interviews for generating new product ideas are not to be utilized in an evaluative manner.

6.6 SCREENING OF NEW PRODUCT IDEAS

Screening is essentially an elimination technique. If the purpose of idea generation is to have a large number of ideas, the purpose of screening is to reduce this number to profitably viable few.

Actual screening procedures vary from company to company and range from simple, yes - no checklists to elaborated scaling. In large companies, the screening process is usually a multistage procedure.

Screening of new product ideas is essential for costs and risk of developing new products run very high. Each project needs to be evaluated before funds are committed to its development. Once a product reaches the market place, what is done cannot be easily undone. It stands or falls on its merits. Back-tracking can be fatally costly for stakes get progressively higher as the new product approaches commercialization. Therefore, smart companies concentrate on appraisals very early in the life of a new product idea.

The rationale for what is basically a rejection technique stems from the fact that very few ideas end up as successful products; may be just 1% or 2%. But, as the experts believe, typical screening operation may yield about 25% productive concepts to work on for screening can check that good ideas are not discarded.

6.7 CRITERIA FOR SCREENING NEW PRODUCT IDEAS

Screening criteria are established as evaluative standards in new product development. They make arbitrary decisions less likely. They provide a unity of purpose. They provide a perspective for new product planners.

Screening criteria usually concern themselves with three factors - markets, products, and finances. More frequently used market-criteria are market size, share; market growth; market positioning; distribution features; etc. The 'product-criteria' are newness; technical feasibility; organizational support; servicing requirements; legal considerations; etc. The 'financial-criteria' are profitability; return on investment; cash flow; etc.

Because some considerations are of more significance than others, many firms have more than one set of screening criteria. The following sets of "Must have" and "Would like" criteria have been suggested for the planner of new products':

"Must have" criteria

- Fill a perceived need with a sufficiently defined group of heavy users for the product.
- Have unique product characteristics that offer distinctive benefits to the user.
- Have sufficient trading profit contribution, e.g., 20% to 50%, in case of grocery products.
- Be saleable in large, expanding territories.

"Would like" criteria

- Be compatible with and able to carry the company's brand name.
- Provide the basis for a continuing business, e.g., a minimum life span of three to five years, in case of grocery products.
- Lend itself to mass media advertising.

The existence of a double standard - "must have" and "would like" criteria - suggests that screening be done in stages. It makes sense. Only if an idea passes the first test of compulsories would it progress to the next level of evaluative checks. Ideas that pass the preliminary stage are then appraised further for estimating their relative values, so that the best of the lot can be selected.

Whether a firm will adopt a multistage approach depends upon the number of ideas flowing from exploration to evaluation. A few ideas can easily be screened at a single session. But, for a continuous stream of ideas, a more elaborate procedure is required. Consequently, many small and medium-size firms do not have a multistage screening method, for resources are limited, new product ideas are not actively pursued, and formal organizing for managing the new product development function does not exist. On the other hand, screening in steps is quite common in large companies.

Ideas can also be screened one-by-one or in batches. Processing several ideas together, in one operation may offer certain economies. But, if this is not a significant consideration, the individualistic approach should be preferred to screening ideas in groups.

Preliminary Screening

Preliminary screening is the first, rather rough, attempt to judge the value

of a new product idea. Some basic criteria are required for preliminary screening. For example, in case of consumer goods, company, the following statements can serve as primary criteria to screen new product ideas:

- The item should be in a field of activity in which the corporation is engaged.
- If the idea involves companion product to others already being manufactured, it should be made from materials to which the corporation is accustomed.
- The item should be capable of being produced on the type and kind of equipment that the corporation normally operates.
- The item should be easily handled by the corporation's existing sales force through the established distribution pattern.
- The potential market for the product should be at least Rs.....
- The market over the next five years should be expected to grow at a faster rate than GNP
- Return on investment, after taxes, must reach a minimum level of

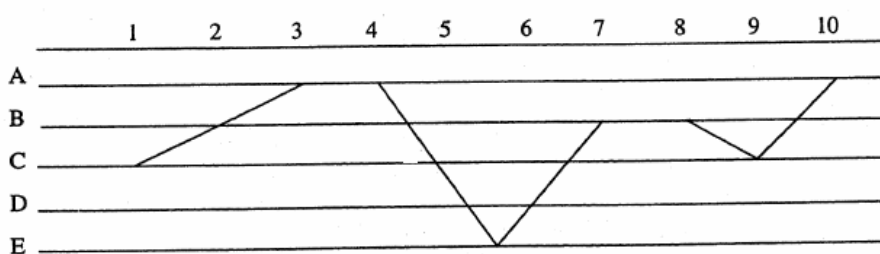
For majority of such check statements, a yes or a no answer should be forthcoming without spending much time to reach the point in question. Technical questions can be referred to the appropriate departments.

Product Profile Ratings - Ranked Data

This technique basically calls for the ideas to be evaluated in terms of a number of key characteristics. One type of such a rating system is the simple ordinal measure wherein each characteristic is scored on a five-point scale. For example, each idea can be rated on ten different criteria from Very Good (A) to Very Poor (E), as shown below:

Criterion/ Characteristic	Very Good (A)	Good (B)	Average (C)	Poor (D)	Very Poor (E)
1.			X		
2.		X			
3.	X				
4.	X				
5.			X		
6.					X
7.		X			
8.		X			
9.			X		
10.	X				

These ratings are shown below:



This chart shows a (new) product profile in graphic form, Such profiles can be developed from all new product ideas and their comparisons can be made easily.

Product Profiles - Summated Data

This method of screening new product ideas is very much like that of ranked data but there are some modifications:

- The ratings are in terms of numerical values. Scores by different people are averaged.
- Each criterion is given a weight in accordance with its supposed importance to the success of a new product.
- Scores and weights are multiplied and their products added to obtain a single overall rating for an idea. This total score facilitates comparisons of different ideas.

The overall rating is described as follows:

$$R = \sum_{i=1}^n W_i S_i$$

Where,

R is overall rating,

W_i is weight of the *i*th criterion

S_i is score of the idea on the *i*th criterion, *n* is number of ideas used in screening.

To illustrate this method, we can use the data used in the previous method. Each criterion is to be given a weight and numbers 1 to 5 will replace letters A to E. The total of all weights should come to 1.00 and, thus, the maximum score of any idea possible is 5.0 (Very Good). For a ready acceptance, the summated rating of an idea should be 4.00 and above. An idea rated between 3.5 and 4 is placed between acceptance and rejection. But, exact cut-off point is a judgmental decision arrived at by experience.

The results of using this method are shown below:

The basic reason why this method should be preferred to the previous method of rating product profiles is the advantage summated data have over the ranked data. In Product Profile Ratings, a Product profile with mostly A ratings can be rather easily distinguished from one with mainly B or C. But, when the patterns of ratings are not quite as distinct or when they take on irregular shapes; sorting of best ideas from a large lot can become difficult. That is why methods using mathematical manipulations are believed to give better picture of the product profiles.

Criterion/ Characteristic	Weight	Very Good (5)	Good (4)	Average (3)	Poor (2)	Very Poor (1)	TOTAL
1.	0.15			x			0.45
2.	0.13		x				0.52
3.	0.12	x					0.60
4.	0.11	x					0.55
5.	0.10			x			0.30
6.	0.10					x	0.10
7.	0.09		x				0.36
8.	0.09		x				0.36
9.	0.08			x			0.24
10.	0.03	x					0.15
	1.00						3.63

Finally, in screening the ideas, as Philip Kotler says, a company must avoid, two types of error - a DROP error and a GO error.

A DROP error occurs when the company dismisses an otherwise good idea for the easiest thing to do is to put down others' ideas, If a company makes too many DROP errors, its standards are too conservative.

A GO error occurs when the company permits a poor idea to move into the stages of product development and commercialization. As a result, three types of failure can ensure. An, 'absolute product failure' (sales don't cover even variable costs), a 'partial product failure' (sales cover all the variable costs and even some of the fixed costs), and relative product failure' (yields a profit that is less than the company's normal or target rate of return).

The purpose of screening should be to stop and drop poor ideas as early as possible. Otherwise, if the ideas reach later stages and get converted into ready to launch products, management may feel that after investing so much in the development of the product it is worth trying it in the market. But that may be fatal. What happens when you let good money chase bad money?

6.8 DEVELOPMENT OF NEW PRODUCT IDEAS

For further progress in the process of new product development, screened ideas need to be converted into product concepts, "A product concept is an elaborated version of the idea expressed in meaningful consumer terms", states Philip Kotler!

We can see the method of idea development with the help of the following example:

A large food processor, say Cadbury India, gets the idea of producing a powder to add to milk to increase its nutritional level and taste. This is only an idea. Consumers, however, do not buy product ideas. Therefore, this product idea needs to be converted into a product concept. And, any-product idea can be converted into several product concepts.

There is a need to ask some questions. First, "Who is to use this product?" (The powder can be aimed at infants, children, teenagers, young or middle-aged adults, or senior citizens). Second, "What primary benefit should be built into this product?" (Taste, nutrition, refreshment, energy?). Third, "What is the primary occasion for this drink?" (Breakfast, brunch, lunch, evening, dinner, late night?).

From these questions, the following concepts emerge

- A tasty midday snack drinks for children.
- An instant breakfast drink for adults.
- A health supplement for elderly people at night.

For testing each of these concepts, elaborated version of each concept can be presented to sample consumers. For example, the elaborated version of product concept (b) above can be like the following:

A powdered product that is added to milk to make an instant breakfast that gives the person all the nutrition needed along with good taste and high convenience, the product will be offered in three flavors - chocolate, vanilla, and strawberry - and will come in individual packs - six in a box - at Rs. 120 a box.

Then, the consumers can be asked some questions like:

- Are the benefits clear to you?
- Are the rewards believable?

New Product Development and Implementation

- Do you see this product as problem solving/need filling?
- Are there other products that meet the same need?
- How do you rate it on satisfaction when compared to them?
- Is the price justified?
- Would you buy the product?

Respondents' answers to these questions can lead to the concept's 'communicability' and 'believability', the 'need level', the 'gap level' (between the new product and the existing products), 'perceived value', and the 'purchase intention' (definitely, probably, probably not, definitely not). A summary of these answers can tell if the concept has a strong and broad enough appeal. The concept looks good, the information also tells the planner what products this new product would replace, what consumers are the best targets, and so on;

Activity 7

Suppose you are hired as a consultant by a new Indian Corporate to help them with the generation of new ideas for a range of breakfast cereal (ahead of the existing range)

- 1) Which idea generation techniques you will use and why?
- 2) Generate new ideas.
- 3) How will you screen the ideas generated?
- 4) Develop the screened ideas into product concepts.
- 5) Testing these concepts, arrive at the final/best new product idea.

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

6.9 SUMMARY

The unit discusses the generation, screening and development of new product ideas, as the first stages in the development process of new products. With the improvement in research and technology and the premium of innovativeness in modern management, the marketer has at his disposal, an average of idea generation techniques, each with its merits and demerits. The unit discusses a number of these techniques while idea generation techniques aim at multiplication of ideas for new product development; screening is basically an elimination technique to reduce the number of new product ideas to a viable few. The unit discusses the criteria for screening as well as the screening methods. The development of the idea into a product concept has also been discussed.

6.10 SELF -ASSESSMENT QUESTIONS

- 1) What are the sources of new product/service ideas utilized in your organization, any other organization that you are familiar with?

Evaluate them with respect to their potential as good sources of ideas.

- 2) Compare and contrast the techniques of idea generation studied by you in this unit.
Which method would you prefer for?
 - i) a consumer product
 - ii) a service
- 3) How would you use Benefit Structure Analyses to generate new Product ideas for?
 - a. Edible oil
 - b. Mosquito Repellent
 - c. Deodorants
- 4) What are the safeguards to ensure the effective use of brainstorming as a technique? What are the limitations of this technique'?
- 5) Describe the important criteria used to screen new product ideas?
- 6) How would you use product profile ratings to a new product idea'? Explain with the help of an example'?
- 7) What are the steps involved in new product launch? Discuss with the help of a suitable example'?
- 8) How would you select the right target market for your new product? Discuss the criteria for selection of a viable segment
- 9) Describe the development of the components of product strategy for a new product.

6.11 FURTHER READINGS/ REFERENCES

Burns, T and Stalker G., The Management of Innovations (London: Tavistock Publications.

Kaushal, O.P. (ed.), Product Management (Bombay: Lalvani Publishing House.

Mascarenhas, S.J., O.A.J., New Product Development : Its Marketing Research & Management (Calcutta: Oxford & IBH Publishing Co. (P) Ltd.

Midgley, D.F., Innovation and New Product Marketing (London : Groom Helm, 1977). New Products Management (NY : Booz, Allen & Hamilton 1982)' Osborn, A.F., Applied Imagination, 3rd ed. (NY. Scribner's, 1963).

Parries, S.J. and Harding, H.F. (eds.) Source Book for Creative Thinking (NY: Scribner's.

Pessemier, E.A., Product Management: Strategy and Organization (NY: John Wiley & Sons.

Rothberg, R.R., Corporate. Strategy and Product Innovation (NY The Free Press).

Sachs, W.S. and Benson, G., Product Planning and Management (Oklahoma: PennWell Publishing Company.

Urban, G.L. and Hauser, J.R., Design and Marketing of New Products (NJ : Prentice- Hall, Inc.

Lehmann Donald R, Winner Russel S, 'Product Management, 4th edition Tata McGraw Hill

Arnold. John E., "Useful Creative Techniques", in Source Book for Creative Thinking. eds. S.J. Parnes and H.F. Harding.

New Product Development and Implementation

B.J. Winer, Statistical Principles in Experimental Design, (NY: McGraw Hill).

Alford, C.L. and Mason, J.B. "Generating New Product Ideas", Journal of Advertising Research, vol. 15, No. 6, (December 1975), pp. 27-35.

Myers, James H., "Benefit-Structure Analysis: A New Tool for Product Planning", Journal of Marketing, Vol. 40, No.4, (October 1976) pp. 23-32.

McGuire, E.P., Evaluating New Product Proposals. (NY : The Conference Board, 1973), p. 27. Sachs, W.S. and George Benson, Product Planning and Management (Oklahoma: Penn Well Publishing Company), p. 231.

Kotler, Philip, Kevin Keller, Marketing Management: New Delhi: Prentice-Hall of India Private Limited, 13th edition.

Online Resources:

1. Idea Generation: How new products ideas are generated:
<https://www.youtube.com/watch?v=U4Q8qlw-puk>
2. Idea Screening: <https://www.youtube.com/watch?v=bXHr4AGDvQw>
3. Concept Development and Testing:
<https://www.youtube.com/watch?v=vWJGHOnVCzI>



ignou
THE PEOPLE'S
UNIVERSITY

UNIT 7 CONCEPT DEVELOPMENT TESTING AND PHYSICAL DEVELOPMENT OF THE PRODUCT

Objectives

After reading this unit you should be able to:

- define a product
- understand the reasons behind introduction of new products to the market
- synthesize new product development process
- develop a new product
- analyze the importance of each of the seven stages of new product development
- evaluate and plan for challenges arising during new product development process.

Structure

7.1 Introduction

- 7.1.1 What does a Product mean?
- 7.1.2 Need for introduction of new products
- 7.1.3 Protection of new product ideas

7.2 New Product Development

- 7.2.1 Idea Generation
- 7.2.2 Idea screening
- 7.2.3 Concept Development and Testing
- 7.2.4 Development of Marketing Strategy
- 7.2.5 Business Analysis
- 7.2.6 Product Development
- 7.2.7 Market Testing
- 7.2.8 Commercialization

7.3 Business plan: A tool to fetch financial assistance for new product development program

7.4 Summary

7.5 Self Assessment Questions

7.6 References/Further Readings

7.1 INTRODUCTION

As customers we all buy products and services for consumption and adoption and thereby derive satisfaction. But when a new product or service is offered in the market and if it fascinates you then you tend become curious to know about its features, cost and other related details. Finally, you end by buying

New Product Development and Implementation

the product and use it and was thoroughly satisfied and contented with its performance. In this scenario as a customer have you ever given a thought how the marketer had conceived the idea of this new product the answer could be no in affirmative. Precisely this unit will take you through the entire process of how a new idea is being converted into a physical entity (product) keeping in mind the customer needs and wants at every stage of a new product development process, Thus as a layman you will be appreciate the need of a new product; its relevance to the customer, to the firm, to the society at large, to the nation and to the world; and the challenges that firms do face in developing a new product. The unit also focuses the new product development process and explains in detail all the stages that are unversed in the launch of a new product.

7.1.1 What does a Product mean?

A product is a pack of utilities offered to its prospective buyers at a certain price to satisfy their specific need(s) and want(s). A product has got five levels – core, generic, expected, augmented, and potential (see Figure 1). Core level is at centre of a product and it mainly refers to the benefit or service it provides to its customers. For example – the core level of an automobile product is to provide transportation services. Next to the core level is the Generic level which refers to the basic product. In an automobile, a basic product can be an automobile without any power steering, air bags or air conditioner etc. In expected level, we refer to all the features a customer generally expect to have in the product. Expected level in an automobile includes power steering, air bags, and air conditioner etc. In an augmented level, we refer to all the features customers do not expect to have but the firm provides along with the product. In automobile purchase, if the customer gets an unexpected offer of a discount of INR 50,000 or first five years insurance free, it will be real delight for the customer. Lastly, potential level refers to all the up-gradations the product may go through in the future years.

It is learnt that marketers differentiate their offering at augmented level though whatever is at augmented level become the expected level of customers with passage of time. To deal with, marketers either increase the prices of their augmented models or they may offer less featured models at discounted prices.

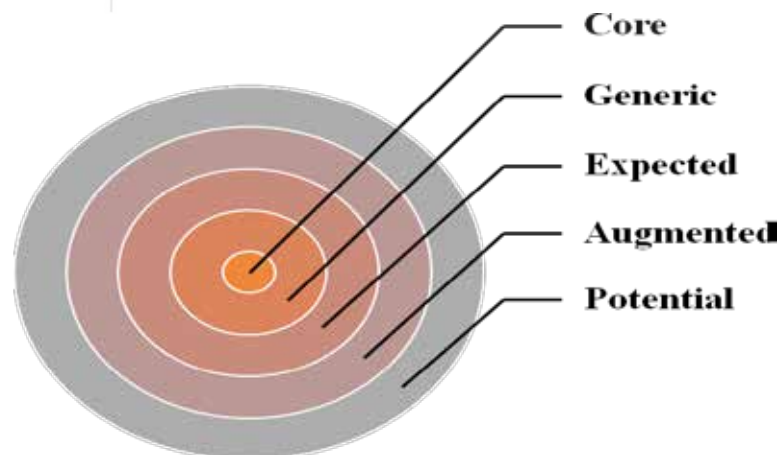


Figure1. Product levels

(Source: Adapted from Levitt, T. (1980). marketing success through differentiation-of anything, *Harvard Business Review*, 83-91. and Kotler, P. and Keller, K. L. (2018). *Marketing Management*, 15th Edition, India: Pearson India Education Services Pvt. Ltd.)

7.1.2 Need of introduction of new products

“Necessity is the mother of invention”

---- Anonymous

There are five orientations a firm can choose from – production, product, selling, marketing and holistic marketing. A production oriented firm focuses on low cost, efficient production, and mass distribution, while a product oriented firm relies on providing the best quality, and advanced features in their offerings. A firm that follows selling orientation believes that people do not buy until and unless they are told and convinced, whereas the marketing oriented firms believes that customers’ a firm cannot survive without fulfilling customers’ needs and wants. A firm following holistic marketing, an extension of marketing orientation, believes on the notion that everything matters.

“The aim of marketing is to know and understand the customer so well the product or service fits him and sells itself.”

– Drucker (1974)

As discussed above, there are five orientations marketers can choose from. Though, whichever of these five orientations a firm follows, a firm needs to have a good product to survive in the market. A lot of firms are realizing this and taking steps in launching new products. Argument regarding launches of new products is detailed here as follows-

1. **Change in customer needs and wants** – Markets these days are appearing very dynamic. There is a continuous change in purchase preferences of consumer and it is mainly because of consumer awareness, increments in surplus income, and consumerism. As a result, there is constant pressure on the marketers to provide innovative products to the customers. This again is resulting in continuous increase in product modifications and new product launches.
2. **Stiff competition** – The level of competition among the marketers to increase their market share is high. For example – Xiaomi and Samsung are competing with one other to be the market leader in India. The strategy of Samsung to beat Xiomi is through launches of new models at regular intervals.
3. **Technological advancements** – Because of continuous developments in technology, better production approaches are revealed. Firms these days are also spending a lot of money for technological up-gradation. To justify these spending and match the technological advancements, new products are being developed all around the world.
4. **Globalization** – Because of digitization of business, it is now possible for customers to order the latest products and services from any part of the world. Marketers are also very fast on imitating the product ideas well in advance. This is how in a short period, ideas are spreading all across the world, which again gives rise to new product launches with some modifications.
5. **Reputation** – Some firms want to earn a name of being the most innovative firm. Their zeal to do well in this direction is earning them a number of new product launches. For example – Space X of Elon musk is an innovation wherein most of new research is still going on. Therefore, one can expect more number of services, like Space tourism, from them in the future.
6. **Minimization of Risk** – Most of the firm are desperate to minimize their risk and their way of doing it is through diversification. This

again is resulting in launching of new and advanced products. For example – Adani Group is looking forward to enter in to automobile sector and has even obtained a trademark “Adani” registered in their name. Therefore, sometimes from now, we may hear and see automobiles being launched from them in the near future.

7.1.3 Protection of new product ideas

As the innovative firms and individuals are inventing new product offerings, it becomes very important for the innovators to protect their ideas from getting imitated. One can protect his/her inventions through –

- (i) Registration of trademarks if it is related to sign, design, symbol, sound, name etc.
- (ii) Filing for copyrights if it is related to images, music, literature work etc.
- (iii) Filing of patent if it is related to a new product or process.

7.2 NEW PRODUCT DEVELOPMENT

Before discussing new product development, let us first understand what does a new product actually mean. By a new product, we actually mean-

- Creation of a new product or
- a modified product or
- an existing product of one market is introduced to a new market.

Having the new product defined, we shall now discuss the process of new product development. There are eight stages in a new product development process. As we have already discussed the first two stages of idea generation and idea screening in the last unit, here we shall discuss in detail the remaining stages only.

7.2.1 Idea Generation

The process of new product development starts with idea generation. Though the idea for new product can come from many sources, some of the main sources of new product ideas are -

- Interaction with the employees,
- Analysis of competitors' products,
- Customers' feedbacks, suggestion and complaints,
- Interaction with suppliers and distribution partners

With the aforementioned sources, the firm has to consider the following techniques to generate ideas –

- Brainstorming – It is the process of generating a number of ideas concerning a specific issue/topic. At this stage, no criticism should be allowed, even raising eyebrows, making facial expressions that reflect skepticism and doubts should also be prohibited. Here leapfrogging and freewheeling should be encouraged. Thrust should be on quantity of ideas as quality should be dealt later on. Too much paper work at the very initial stage should always be avoided.
- Focus groups – Herein a group of 10-12 stakeholders discuss on the concerned topic for 1 to 3 hours. It is recorded and moderated by an expert moderator.
- Depth Interviews – A 30-60 minutes interview of a stakeholder/customer/user by a skilled interviewer is carried to get insight about

the solution(s) they seek in a product.

- Library and internet research – Employees of a firm concerned with product development carry out literature review to find out a new product concept with which customers can be satiated.
- Projective techniques – There are a number of techniques like role playing, word association, sentence completion, cartoon picture, and third person technique wherein customers are asked to participate and responses from them from these participations are used to get insight of the psyches.

7.2.2 Idea screening

Once the ideas are generated they are screened to filter out the not so promising ideas. The filtered out ideas are not discarded away but they are kept safe and secure in database for future product developments.

7.2.3 Concept Development and Testing

ATAR Model

ATAR model is employed to forecast sales volume and profit potential of a new product by an entrepreneur or a firm is going to develop.

A – Aware (how many potential buyers are aware about the product?)

T – Trial (how many potential buyers are trying the product?)

A – Available (how many potential buyers are finding the product available in the store?)

R – Rebuy/Repeat Purchase (how many are repurchasing the product?)

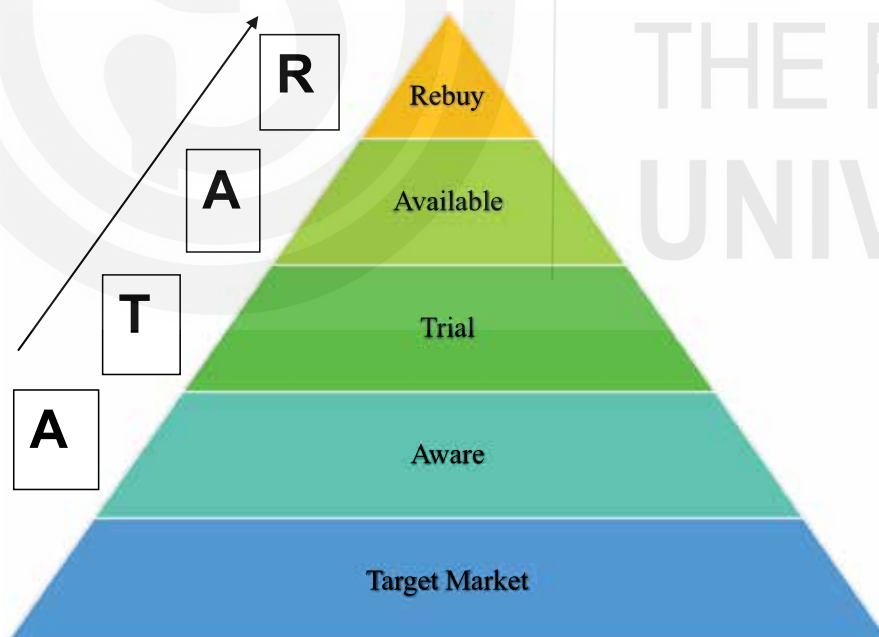


Figure 2: ATAR Model

Let us suppose that an entrepreneur thinks of manufacturing toothpaste. However, toothpaste is comprised of number of ingredients and various combinations of ingredients will also be possible. In such a scenario, ATAR model can be worked out to check the profitability of each of the combinations. By doing so, the most feasible options can be then worked out. Table 1 gives insights on the applicability of ATAR variables in evaluation of the feasibility of a product concept, specifically a herbal toothpaste with

good taste. Herein, the firm is able to reach breakeven point after 3 years. The firm will also analyse other concepts and then it will choose the most promising one(s) among them. If the firm's sole objective is to increase its bottom line in a shortest possible time frame, the firm will obviously go with a concept whose breakeven point or payback period is the least.

Table 1. Analysis of a concept through ATAR variables

Product – Toothpaste (Herbal & Tasty)	Year 0	Year 1	Year 2	Year 3	Year 4
Market Size (units that can be sold)		4,00,000	420000	441000	463050
Growth Rate (Annual)		5%			
ATAR					
Awareness		10%	15%	20%	25%
Trial		10%	10%	5%	5%
Availability		20%	20%	25%	25%
Repeat		20%	25%	25%	30%
Customers' Analysis					
New repeat customers		160	315	276	434
Total 'Repeat' buyers		160	475	751	1185
Price & Volume Analysis					
Average quantity purchased per year		22	22	22	22
Unit Price (after discounts)		8	8	8	8
Cost (per unit)		3	3	3	3
Margin (per unit)		5	5	5	5
Total sales		3520	10450	16513.75	26064.16
Total Revenue		28160	83600	132110	208513.3
Gross Margin		17600	52250	82568.75	130320.8
Initial Investments (Capital	90000				
Spending on Promotion		40000	30000	20000	10000
Profit (After Expenses)	-90000	-22400	22250	62568.75	120320.8
Cumulative Profit Contribution	-90000	-112400	-90150	-27581.3	92739.53

Source: Author's own assumptions

Concept Development

As explained in ATAR model, assume that the entrepreneur finally thinks of manufacturing toothpaste which is herbal and tastes good. Though, it is a good idea, it can be further divided in to a number of concepts, as buyers do not buy merely ideas they actually buy concepts. These concepts are as follows -

- I. Concept 1. Toothpaste for urban children to cultivate a habit of tooth brushing as they dislike toothpaste because of their bad tastes.
- II. Concept 2. Toothpaste for all those who do not use toothpaste because of their bad tastes.
- III. Concept 3. Toothpaste for villagers who use chew sticks as they find toothpastes are neither available nor they are herbal.

Once done with the defining of concepts, one can identify the categories of the products each of these three ideas are going to compete with. For example Concept 1 is going to compete with all the toothpaste brands that are present in children's toothpaste category, Concept 2 is going to compete with all the herbal toothpaste brands, and Concept 3 is to compete with freely available chew sticks.

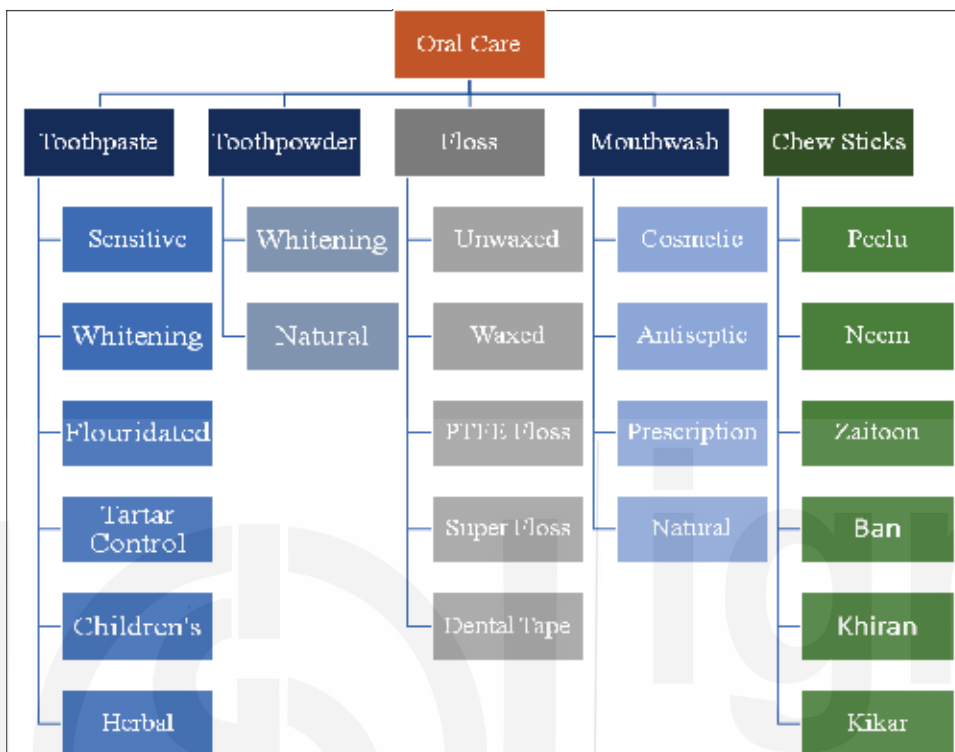


Figure 3. Product Category Structure of Oral Care
(Source: Author's own propositions)

Let us assume that among these three concepts, concept 2 appears to be the most promising at the moment. In that case, the next step is to plan the product-positioning map, a map portraying the positions of different products in oral care category.

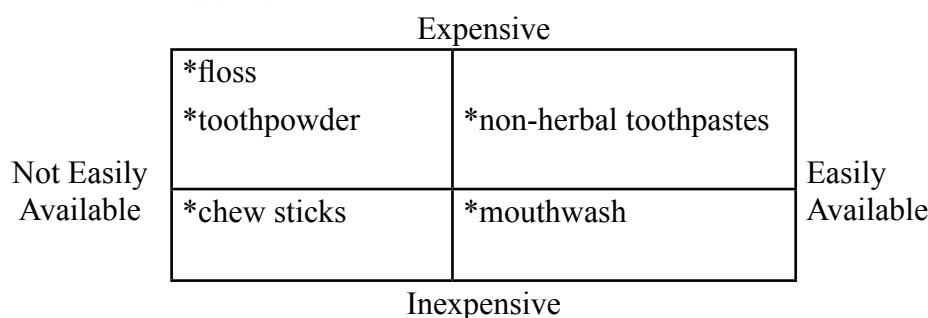


Figure 4. Product-positioning Map (Product-positioning Oral Care)
(Source: Author's own propositions)

Once we are done with product-positioning map, next is brand-positioning map, a map portraying of perceptions of customers regarding all other brand in that category. As we can see that there are only two existent brands that are appealing to segment 1 and 4. In this case we can launch two brands catering to segment 2 and 3. The brand we are going to launch in segment 3 should be a premium brand while the brand we are going to launch in

segment 2 should be discounted brand. By doing so, we can have a larger pie of these segments.

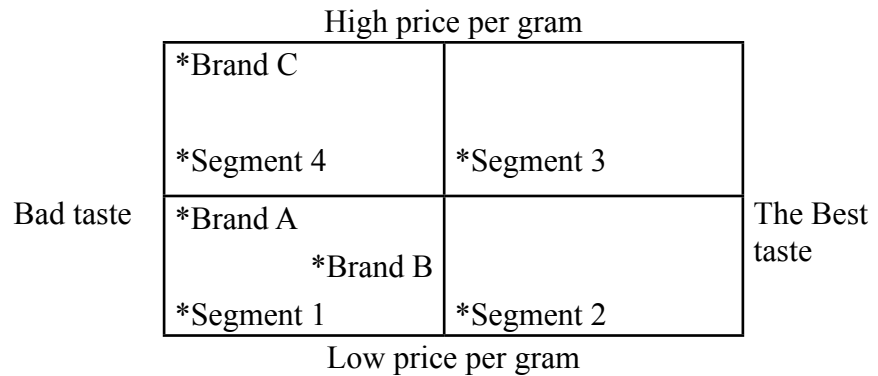


Figure 5. Brand-positioning Map (Herbal and Tasty toothpastes)
(Source: Author's own propositions)

Concept Testing

Concept testing is the stage where we present the product, mostly in physical or symbolic form, to a few target consumers to get their feedback. Normally the feedback is received on following points –

- (i) Need satisfaction – are the customers finding that the product will be able to satisfy their needs?
- (ii) Perception regarding value received – do the customers perceive that they will receive substantial value through this product?
- (iii) Purchase intention – Are the customer willing to purchase the product?
- (iv) Believability in the product – do the customers believe that any product like this can exist in the market?
- (v) Purchase occasions – when the customers will be happy to purchase the product?
- (vi) Purchase frequency – what will be the purchase frequency of the product?

To find the purchase preferences of the customers regarding the variables like packing colour, product colour, pack size, and price, a firm can use techniques like *conjoint analysis*.

- i) Pack size (50 grams, 100 grams, 200 grams)
- ii) Pack color (Red, White, Blue)
- iii) Price (INR 50, INR 90, INR 175)
- iv) Product colour (Green, Red, White, Blue)

By collecting the ranking of customers on these 108 (= 3 x 3 x 3 x 4) different combinations, one can then use regression to find utility being drawn from each of these 13 (=3+3+3+4) points. Then one can easily find which top three or four combinations of pack size, pack colour, price and product colour one can go with.

Activity 1

1. Select any product category of your choice and develop at least 3 concepts that you think will be feasible in the present context..

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

2. Carry out product-positioning and brand-positioning map for the most feasible concept proposed under the Activity 1.

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

7.2.4 Development of Marketing Strategy

Once the firm is done with successful concept test, it can then go for the development of marketing strategy. The marketing strategy will be framed on the basis of three parts –

- i) **Market credentials and brand positioning:** Market credentials specifically means, the target markets, the existing marketers, the level of competition exists, the aspirations of target customers, and the size of market potential. For example – in our herbal and tasty product concept, we have to find how many people can be the potential customers, how much they are already spending on tooth care, how much will be the potential if we multiply their population size with their respective spending, what expectations people have, what need they think are not getting fulfilled etc. After knowing all these we have to develop our branding and brand positioning strategy. We need to pick brand elements (symbol, logo, term, sound, sign) in such a way that anyone looking at these brand elements can assume that it is related to something herbal and tasty. In doing so, we have to register these trademarks with the concerned department and then design our commercials to convey that we are herbal and tasty toothpaste. Before airing the commercial on any of the mass media tv or radio, we should show it to a few target customers to get their feedback on it. If any suggestion is received, we have to integrate them.
- ii) **Financials and Distribution:** In financial aspect, we have to take care of two things - price at which we have to offer the product, and

marketing budget for the successful marketing of the new product. In distribution aspect, on the other side, we have to plan about pack size, box sizes, retailers, jobbers and distributors and their commissions respectively.

- iii) **Marketing Mix** – At this juncture we have to plan for product (quality), price (skimming or penetration strategy, differential pricing etc.), distribution, promotion (packing, media planning, channel selection, procurement of marketing services etc.).

7.2.5 Business Analysis

Once the firm develops marketing strategy, it can go for business analysis wherein the firm prepares cost, sales and profit projections to see whether the product commensurate with the objectives of the firm. If it seems so, the product will go to product development stage.

Estimation of Sales over the Product Life Cycle (PLC) - In estimation of sales of the product during its PLC the firm should look at various aspects like – number of target customers, purchase frequency, purchase quantity, price of the product, sales promotion, commissions to channel partners.

Estimation of cost and Profit - Herein the firm projects a 5 year or a 10 year plan wherein all the sources of inflows and outflows are included. It gives the firm a complete picture of what that has to do to achieve the financial objectives of the firm in the context of present product.

Activity 2

1. Carryout business analysis for the concept selected for the Activity 2.

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

7.2.6 Product Development

Quality function deployment is the technique which most of the firms use in product development. In this technique, customers are asked about their preferences (what) and then these preferences are transformed in to technical specifications (how), the characteristics a firm can control. Following this, pair wise correlations among all the technical specification are established. If two are highly correlated ++ sign is allocated, if two are correlated the + sign is allocated, if two are not related then 0 is allocated, if two are negatively correlated then – is allocated, and if the two are highly negatively correlated then -- sign is allocated. These correlations assist the firm in taking care of customer preferences in a better way. Following this, customers are asked to rate each of their preference from 1 to 10. Then mean of all these scores

are calculated and these are called relative importance. Next the customer preferences (what) are correlated with technical specifications (how) and if they are found to be highly, moderately, and weakly correlated then the numbers allocated to these correlations are 9, 3 and 1 respectively. If they are not all found to have a correlation with one another, 0 is allocated. Next to it, relative importance score are multiplied with corresponding correlation scores of what and how. These multiplications are added for each of the specifications. These multiplications and additions are performed for each of the technical specification. Next to it, all the scores are added to calculate the grand total. Next to it, we divide each of technical specification score by grand total and in doing so we get relative importance weight-ages. By looking at these score we can find which aspect is of more importance to the customer and which of these is of lesser importance to the customer. In our example, we can see that aspect of SSD is of the utmost importance to the customer. We can then work out different combinations to customers to satisfy their needs and wants.

Example – Let us understand this with the help of an example wherein a firm is looking forward to develop a laptop for the market. It approaches customers and finds that there are 6 aspects that customers are looking while purchasing laptop i.e. quick when switched on, does not heat up, easy to use, good battery capacity, durable and portable. The firm then asks the customers to rate these 6 aspects on a scale of 1 to 10. After receiving this data, the firm allocate technical specifications with which these 6 aspects can be controlled with, these specifications are – processor, RAM size, screen size, material, weight, and SSD. Then these specifications are correlated pair wise and signs of ++, +, 0, -, and --, are allocated as per the aforementioned explanations. Following this, correlations between each of the 6 aspects processor is established and a score of 9, 3, 1 and 0 is allocated as discussed above. The allocation of correlation numbers are also allocated in the case of RAM size, screen size, material, weight, and SSD as well. Next to it, the relative importance scores are multiplied with their corresponding correlation scores. Like in the case of processor 10, 9, 7, 9, 7, and 6 are multiplied with 9, 3, 9, 9, 0, and 0 respectively to get a sum of 261. These calculations are also performed in the case of RAM size, screen size, material, weight, and SSD also to get the sums of 261, 144, 261, 152, and 282. All of them are added to get 1361 (261+261+144+261+152+282). Next to it, we divide 261, 261, 144, 261, 152 and 282 by 1361 to get relative importance weight age of processor, RAM size, screen size, material, weight, and SSD. In doing so, the relative importance weight ages of processor, RAM size, screen size, material, weight, and SSD are found as 0.1917, 0.1917, 0.1058, 0.1917, 0.1116 and 0.2072 respectively. Among these, as we can see, 0.2072 is the highest while 0.1917 is the second highest. It shows that the most important thing to a customer in a laptop is SSD, and then the next equally-important things to a customer are a laptop's processor, ram size and material it is made up off.

After doing so, the firm can select a few combinations of SSD, Weight, Material, Screen Size, Ram Size, and Processor and can reach the customers to get their feedback in this regard. The best 2-3 combination can be then selected for further considerations.

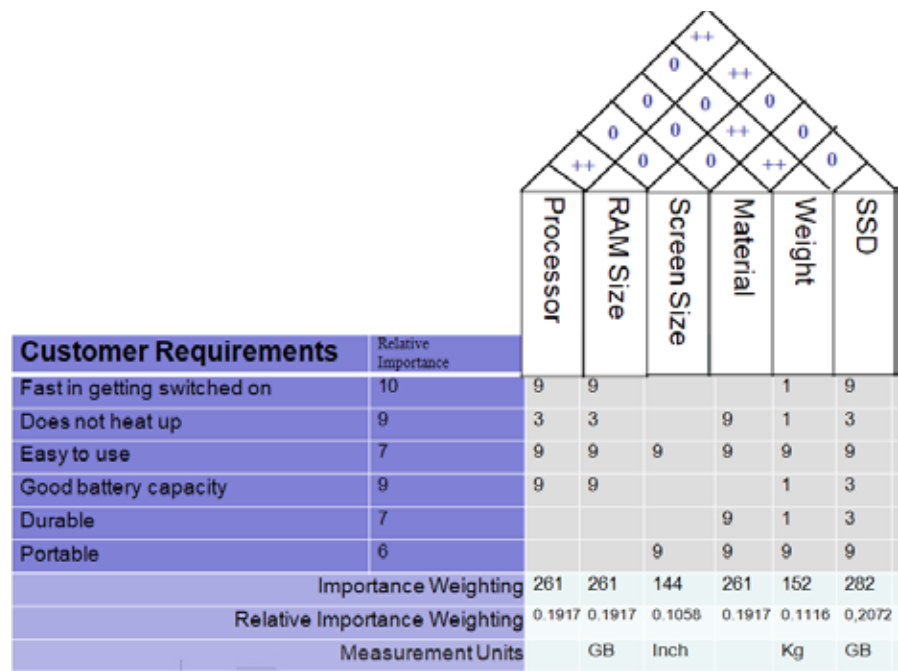


Figure 6. An Example of Quality Function deployment

(Source: Author's own data)

7.2.7 Market Testing

If the firm is into FMCG business then the firm will have the following options to choose from for market testing:

- i) **Test Marketing:-** Test marketing is also known as standard test marketing. These are conducted with limited number of prospective locations (cities/towns/villages etc.) which are generally selected through probability sampling techniques. The firm does everything in these locations that it would have otherwise done at national level. The sales personnel as usual sell products to jobbers, distributors, commission agents and retailers. Marketing mix plans and strategies are then devised to be implemented. The performance of the test market is analyzed through the sales track. Surveys are conducted with consumers and distributors. In-store activities of customers are analyzed. Results received from these activities are then analyzed to be better prepared for national launch.
- ii) **Simulated Test Marketing :- (STM)** STM is designed to overcome the issues and disadvantages of standard test markets. Simulated tests are conducted in laboratories wherein a theme is exposed to marketing mix variables (especially product, place, price, and promotion) to gauge their purchase related intentions. Simulated test markets are relatively faster and cheaper than the standard test markets.
- iii) **Controlled Test Marketing: -** Controlled test marketing is mostly used for introduction of new products in controlled settings. In controlled test marketing, the concerned firm shortlists certain retail stores across different geographies and approach them to keep its product in their stores for some fee. The firm controls the shelf position, POP (point of purchase) promotions, pricing, and displays of its product in these stores. Then data is collected from these stores

through video cameras and checkout scanners to draw meaningful conclusions regarding the product. Input received from this process is then utilised for the national launch of the concerned product.

- iv) **Sale-wave:-** In this method a few consumers are repetitively offered the product and is always offered free of cost. Then the firm tries to seek their willingness to use the product each time it is offered to them.

On the contrary, in case of industrial product the firm will have the following options to choose from for market testing.

- i) **Alpha testing:** In this method prior to commercialization of the product, the product is offered to the employees or test engineers of the firm to see how they find the product. Then after some time their feedback is taken to make decision regarding further course of action.
- ii) **Beta testing:** While in this method the product is given to those customers who actually need it. They are then asked to use the product for a fixed time period. Once the time is over, their feedback is recorded and the suggestions (if any) are worked out before the final launch of the product.

7.2.8 Commercialization

Commercialization is the stage when actual launch of the product takes place. Most of the time firms are too occupied with new product development that they hardly get time for preparing a winning commercialization program. For a firm commercialization program, the firms need to have suitable arrangements for manufacturing, and long lasting relationships with all the players of value chain, specially suppliers, transporters, retailers and distributors. Sometimes, entrepreneurs not have backings of big firms have to rely on start up funds, angel investors, and crowd funding for their capital requirement.

Beside funding and arrangement with other parties, the decision pertaining to when (timing), how (strategy of introduction), and where (location) of commercialization are also very important to make.

- i) **When (timing):** When a firm is looking to replace their product, they wait until the stock of old product is sold out. If a firm is launching new product, then it has three choices to choose from. One of these three choices is that of first entry wherein the firms commercialize the product before its competitors do. If the firm does so, it enjoys the leadership and can possibly dry out distributors, retailers, and customers for its competitors. Another choice that a firm has is that of simultaneous entry wherein the firm is commercializing the product on the day its competitor(s) is commercializing the product. Advertisements of both the firm may create buzz for the product getting launched. Last choice is that firm wait for its competitors to launch the product. In doing so, it will not be required to spend much on educating the customers. Though, the chances of drying out of customers and distribution partners by competitors can't be denied in that case.

- ii) **How (strategy for introduction):** Any new product launch attracts huge money in terms of expenditure and expenses. In the light of this firm should plan a realistic budget for its launch activities much in advance. Further, to ably complete all the activities of distribution, a firm can also employ the critical path method scheduling technique for a better handling of transportation issues.
- iii) **Where (location):** Location for commercialization is decided by the product type, target market and resources that are available for the launch activities. Generally, small firms launch their products in one of the promising cities and keep continue on launching in other cities as well. Large firms, on the other side, nationally launch their products and then the move to other countries.

Let's discuss with an example wherein the concern for environment protection specific to curb carbon emission and with the objectives of mass electric mobility shift Ola forayed into electric scooters and established Ola electric 2017. In May 2020, Ola electric acquired Etergo, a Netherlands based electric scooter firm, and expressed its intention of launching electric scooters in India. In December 2020, an MoU was signed with Tamil Nadu Government to invest INR 2400 Cr for manufacturing of electric scooters in Tamil Nadu. In January 2021, it procured 500 acres land in Krishnagiri, Tamil Nadu for manufacturing the proposed electric scooters. In February 2021, construction work started at the manufacturing plant. On December 15, 2021 the CEO of Ola, tweeted to inform all the prospective buyers regarding the launch of Ola electric scooters. The potential buyers booked the Ola electric scooters online and the scooters were delivered to them at their doorsteps as Ola did not go for traditional dealership model. Just within 5-6 months of its commercialization, in the month of April 2022, it became top electric two wheeler firm in India. It snatched top spot from Hero Electric by selling 12,683 electric scooters in April 2022.

7.3 BUSINESS PLAN: A TOOL TO SEEK FINANCIAL ASSISTANCE FOR NEW PRODUCT DEVELOPMENT

On one hand the government is fostering entrepreneurship in the country while on the other hand entrepreneur do have startup idea but they do not have the requisite financial support to make their dreams a reality. And to seek financial assistance from any financial institution or an angel investor, they need to submit business plan, a formal written report about the entrepreneurial idea, expressing the planning and steps to be taken to carry out the proposed concept. This section explains all the constituent parts that are there in a business plan.

Constituents of a business plan are explained as follows: –

- Executive Summary – A summary of the whole report for executives to enable them to go through to understand the project in a very short time.
- Vision, Mission and Goal(s): Vision is what one needs to do tomorrow (in simple words these are the aspirations of the future. For example vision of Ford is to build a motor car. Mission, on the other hand, is a long term aims to be achieved by the entrepreneur/firm. For example

Mission of TCS is to enhance its competency capital. Goals are time bound achievable targets regarding sale, production etc. For example- To Achieve 24% quality improvements by next financial year

- Company Overview: Herein the details pertaining to the firm, specially information regarding its registered office, employee strength, and management etc. is explained.
- Product: This section actually explains what the product is, what its ingredients are, what speciality it has, why it is proposed, what its USP is, and what kinds of needs it is going to fulfil.
- The Market: Market includes group of buyers and this section provides information about the buyers you are going to make the proposed product for. It explains the profile of the segment(s) you are targeting, especially its demographics, needs, aspirations, and disposable income.
- Marketing plan: A written document which provides a summary of what the marketer has learnt about the marketplace and indicates how these plans will be achieved and the marketing objectives to pursue. The contents include the following which are mentioned below:-
 - (i) Executive summary – it contains brief of plan, including its goals, and recommendations.
 - (ii) Table of contents – It contains the ingredients of the marketing plan.
 - (iii) Situation analysis – It includes information about the bottom and top line, market characteristics (size, definition, growth rate), competitors, and macroeconomic factors.
 - (iv) Marketing strategy – It explains strategic marketing constituents (segmentation, targeting, positioning) and tactical marketing constituents (sales promotions, price hikes, alliances for distribution, and plan as per the competitiveness of the product in the concerned product line etc.)
 - (v) Planning projections – It includes sales forecasting, and analysis regarding break-even and expenses.
 - (vi) Implementation controls – It chalk out weekly/monthly goals, budget in the context of previous sales results, and adjustment(if any) to deal with situations like price wars, natural calamities (COVID-19), strikes, and lock outs, etc.
 - (vii) Competition/competitors – This section chalks out the number of competitors that are there in the market. This explains the level of competition, rivalry among the firms (if any).
 - (viii) Risk - If there is entry or exit barrier it reports it here. Besides this, it also reports all sort of risk that can be there because of macroeconomic factors, natural calamities (like COVID -19).
 - (ix) Employees Management – It reports the strength employees are going to be there in the proposed manufacturing, marketing, and distribution of the product. How these employees will be recruited and how they will be trained. This also talks about their promotion and compensation in brief.

- (x) Capital Requirements – This section talks about the finances required in the actualization of the business idea.
- (xi) Conclusion - It summarizes the whole business plan while touching upon all the facets of import briefly.

Activity 3

1. Chalk out a business plan of a new product development of your choice.

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

7.4 SUMMARY

This unit focuses on the various aspects of new product development process within a firm. It is divided into three parts; the first part introduces the learner to the meaning of a product, why we need new products, and how marketer can protect their ideas of new product developments. In the second part, it synthesizes the new product development process and explains in detail all the stages that are to be carried out to launch a new product. Lastly, in the third part, it gives an overview of business plan to assist the learner in their entrepreneurial journeys.

7.5 SELF -ASSESSMENT QUESTIONS

1. Why do you think we need new product when old products can also assist us in our daily life? Discuss
2.
 - a) How do you think the concerns regarding climate change all over the world are forcing the firms and individuals to come up with innovative products with which carbon emission can be reduced?
 - b) Is there any impact of these in real scenario? If yes, please explain at least four products that you think are the result of these compulsions.
3. What do you think are the problems that a small enterprise might face in journey of development of a new product? Can a educational institute can assist in this regard? Elaborate with a suitable example.
4. How do you think we can bring more start ups in India to give a boost to Indian economy? How as a student you can contribute to this?

7.6 REFERENCES/FURTHER READINGS

Ulrich, K. T. (2003). *Product design and development*. Tata McGraw-Hill Education.

Karol, R., & Nelson, B. (2011). *New product development for dummies*. John Wiley & Sons.

Kotler, P. and Keller, K. L. (2018). *Marketing Management*, 15th Edition, India: Pearson India Education Services Pvt. Ltd.)

Drucker, P. F. (1986). *Tasks, responsibilities, practices*. New York: Trueman Tally Books

Kotler, P. and Keller, K. L. (2018). *Marketing Management*, 15th Edition, India: Pearson India Education Services Pvt. Ltd.)

Levitt, T. (1980). Marketing success through differentiation-of anything, *Harvard Business Review*, 83-91.



UNIT 8 NEW PRODUCT LAUNCH

Objectives

After reading this unit you should be able to:

- understand the meaning of product launch;
- explain the marketing plan for new product launch;
- ascertain and select target market; and
- plan for launch schedules.

Structure

- 8.1 Introduction
- 8.2 Types of New Products
- 8.3 New Product Launch the Marketing Plan
- 8.4 Defining and Selecting the Target Market
- 8.5 Product Strategy and Positioning
- 8.6 Pricing the New Product
- 8.7 Promotion of the New Product
- 8.8 Summary
- 8.9 Self-Assessment Questions
- 8.10 References/Further Readings

8.1 INTRODUCTION

The new product launch poses an interesting and satisfying challenge to product managers and his team members working in the marketing department. It actually offers an opportunity to the marketing personnel to apply their theoretical and practical knowledge in their job and to see their plans bearing fruits and success. In essence, it is very difficult to take appropriate decision even after adequate knowledge and information about marketing techniques, what adds flies in the soup is that even a single hasty and irrational decision can jeopardize the success of a new product and its profitability.

Furthermore, the rising competition in almost all businesses, the availability of global information to the customer with the press of a button through the internet and the explosion in the media has made the already onerous task of marketers even more difficult.

One may ask as to how all these developments make the success of new products difficult? The answer lies in the fact that with the easy access to all the information channels, the customer has become more aware about the happenings around him. This makes him more demanding as far as the value for the money spent by him is concerned. On the other hand he is also being bombarded with a lot of messages on a day-to-day basis. Thus making it almost impossible to remember the product unless it offers him the clear advantage or it meets some unmet need or at least he perceives the new product as different and unique.

Imagine the plight of a housewife who takes the decision to buy a detergent. During her spare time, she watches a few interesting programmes on her

favorite TV channel. During the same time she would have to watch at least 20 to 30 advertisements which have been interspersed in her favorite programmes. How many of these can she remember? The chances are quite negligible. Though the recall of a particular advertisement will depend upon many factors, what is intended to be emphasised here is that all these aspects make the life of marketers and product managers more difficult.

The success, in this difficult environment, depends upon the intelligence, creativity, knowledge, experience and the ability to take risks, of the concerned product managers and other marketing personnel. It should be the endeavor of everybody concerned with the new product launch to avoid pitfalls at every step of the process.

It has been the endeavour to present the requisite information with emphasis on practicability of the concepts in the section that follows.

8.2 TYPES OF NEW PRODUCTS

Before we dwell into the details of marketing and launch of new products, it is very important to understand what types of new products one can come across. This is important because the marketing strategy is also influenced and it should be influenced with the type of the new product. Various types of new products are as follows:

New for the Mankind

Products which are the result of new discoveries/inventions constitute new to the human race. These types of products come about once in the life time of an individual or even longer. The examples of such products are all the discoveries when they were actually made. The examples include telephone, television, aircraft, bicycle and more recently the Mobile Phones.

New for the Country

All products which have been marketed as innovations in other countries are being marketed in the country of one's origin for the first time. The example of such products could be Viagra (the tablets for impotence) launched by Pfizer abroad is currently available in the Indian Market too.

New for the Industry

Products which are new for a particular industry constitute a new product to the industry. The examples are the flat television launched in the T.V. industry, The Euro I and Euro II cars launched by some of the major automobile companies in India, the laptop computers launched in the computers industry, cars with automatic gear system launched in the automobile industry a host of other products keep adding to the list with the passage of time and advancement in science and technology.

New Product in a Product Category

Products which represent an innovation in an already existing product category for example, cigarettes represent a product category. The introduction of the cigarettes specially marketed for female gender represents the new product in a category. We may remember that the cigarettes in the brand name of "Ms." were launched a few years ago. To cite another example The UB group has launched the light Kingfisher beer in the product category of beers, similarly diet coke paved its way into the health conscious segment.

New Product in the Product Class

The new class represents the new types of products in the existing product category. For example, cigarettes represent a product category; the filtered cigarettes represent a product class. Similarly, if antibiotics represent a product category, penicillin represents a product class.

New Product for the Company

A new product which is new to the company itself is considered as a new product of the company. There is nothing new in terms of an innovation regarding the product category or the product class or for the country etc. Here the company launches the same product which is already available in the market under a new brand name. Thus the brand name is the only thing that is new. In order to differentiate, the company comes out with innovative marketing strategies and marketing communication to ensure the success of such brand. There are many examples of such products in the pharmaceutical industry. There are many brands of ampicillin or B-complex vitamins or tonics available in the market. And there is exactly no difference between the B-complex vitamins marketed by one company over the other. The examples from other industries include the tyres, soaps etc.

Activity I

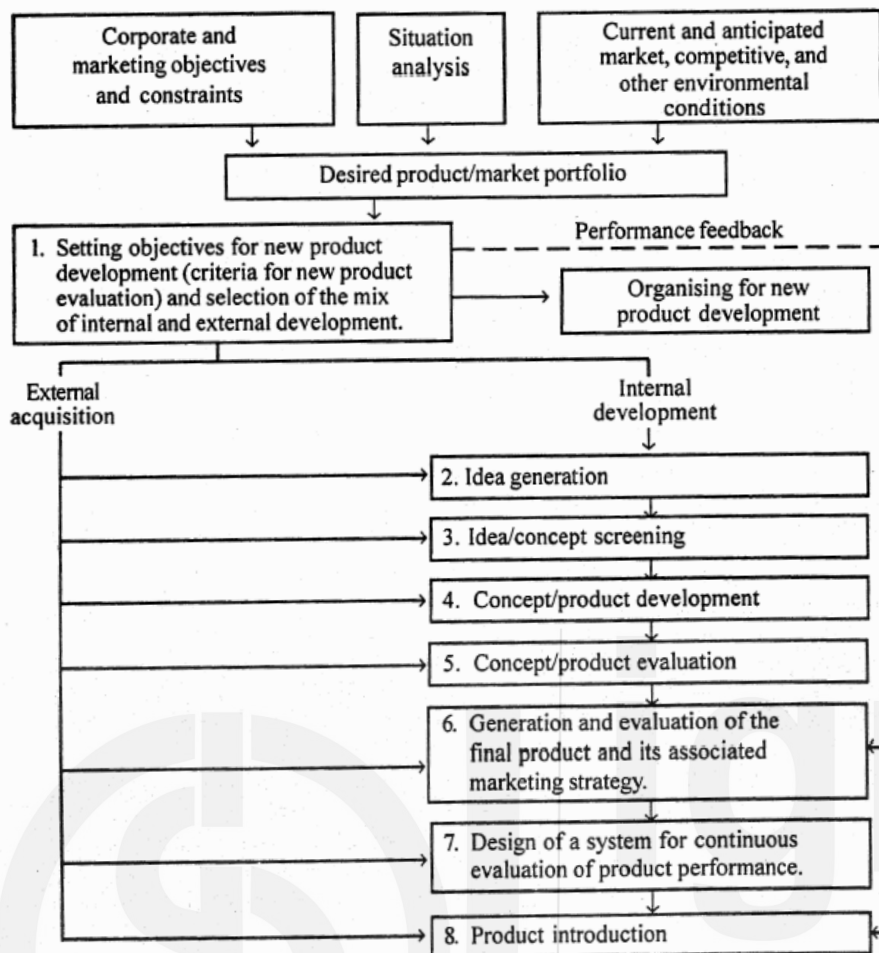
Identify any five new products (Brands) of your choice which have been launched in the recent past.

Try and identify to which product category these products belong to.

1.
.....
.....
2.
.....
.....
3.
.....
.....
4.
.....
.....

8.3 NEW PRODUCT LAUNCH-THE MARKETING PLAN

When the test marketing results are positive, the new product is ready to enter the final battleground - the market. In this part of the unit we shall look at the factors and steps involved in developing marketing plan for the launch of a new product. The marketing plan for launch is simply a statement of the course of action to be followed for the product's introduction into the market. It should clearly specify the marketing objectives, strategies and programmes. Though this section is placed towards the end of the product development process, it is not to imply that marketing planning for launch can be left till the end to commence just prior to the launch. Marketing planning is a continuous activity in the new product development process and informally may start at the time of idea development itself. Formally, it should commence as soon as the product development stage begins. Like all important plans, marketing planning for launch is an iterative process.



Setting objectives for new products: The statement of marketing objectives for new products represents a decision criterion - a goal that the team strives to achieve. A statement of clearly defined, measurable, time-bound objectives is critical, especially if the new product team is large and diverse. Marketing objectives clearly written down and communicated can have a synergising effect on the activities of the new product team.

Typical marketing objectives for the new product should contain:

- Unit or Rupee value sales of the product by the year,
- Market share by the year, and
- Product profitability in terms of percentage margins and payback.

In the early stages of the new product development process, the information at the disposal of the marketer may permit only rough estimates. As more information starts coming in as a result of market studies and test marketing feedback, as well internal cost data, the objectives can be refined and made more realistic.

Situation Analysis: An analysis of the environment, surrounding the new product is critical to its success and usually is one of the early steps in the development process. It is here being discussed only as an ingredient of the marketing plan. The situation analysis in this respect would comprise of the macro environmental analysis, the market analysis and the internal analysis.

The macro environmental analysis involves the study of variables that lie outside the firm and may have implication on the products market and the company. Specifically, it would include a study of the economic situation, the political-legal situation, the demographic and social trends as well as the technological developments. The analysis gives a useful framework for the marketing plan to be developed.

The market analysis is essentially undertaken to provide an input in designing a successful marketing strategy. It should include:

- Market overview - An assessment of the quantitative and qualitative aspects of market size and growth.
- Segment overview - What is the target segment? How are the segments distinguished, and defined in terms of size and growth trends?
- Consumer overview- A definition of who are the buyers, the purchase influencers? What, when and how do these target consumers buy? Why do they buy? What are their preferences, needs and wants?
- Competition overview- A definition of the competitors and their relative strengths and weaknesses segment wise. A critical assessment of their products and consumer's perceptions of their products, competitors, strategies for pricing, advertising, distribution; an assessment of their marketing position.

Time invested in market analysis usually gives rich dividend at the time of planning the positioning strategies of the new product.

- The internal analysis pertains to an assessment of the company's resources with reference to the new product. In respect of the marketing plan one must specifically analyze:
- The sales force - How do you assess the present sales force in terms of their capabilities of selling the new product? Would they require additional training inputs? Do you require a new sales force?
- Promotional set-up - Do you require significant changes in the advertising and promotional set-up?
- Distribution system - How do you evaluate the service and distribution system with reference to new product? Do you require significant modification? What needs to be done to assure dealer support to the new product?

The internal assessment must also consider the strengths and weaknesses of the other functional areas that have a direct bearing on new product development. It is essential that an integrated approach presupposes a critical assessment of manufacturing, research and development, finance and marketing strengths, and weaknesses.

8.4 DEFINING AND SELECTING THE TARGET MARKET

Market segmentation, the definition of clusters of consumers within a market such: that there is relative homogeneity within each group can utilise several bases. You have already studied these in your basic/core course in Marketing. Perhaps the most prevalent method of segmentation

for new products is benefit segmentation. Benefit segmentation recognises that people seek different benefits from their purchases and have different motivation to purchase. Using this approach it is possible for the market-to-define the benefits and attributes that must be built into the new product and communicated to the consumers. In fact, the positioning and communication strategies are largely defined by the benefit segment selected.

Any segmentation analysis would yield a number of potential segments and present alternative attribute packages that can be built into the product to make it more suited to a segment. It is, therefore, important to identify criteria used to select an appropriate market segment for the new product. Some commonly used criteria are:

- **Segment attractiveness** in terms of market size, growth and future potential.
- **Ease of access** in terms of selling effort distribution channels etc.
- **Degree of fit** in terms of the closeness of match between needs and preferences of each segment and the attributes and possibilities of the new product.
- **Competitive situation** in terms of where the competition is lowest, weakest or most vulnerable.
- **Relative advantage** in terms of the differential advantage that you may have relating to product features and benefits as well as entry strategy. Fit and ease of access only suggest adequacy of the segment. In order to be desirable a segment must offer possibilities of competitive edge.
- **Profitability** in terms of offering you to the greatest possibility of meeting your profit and sales targets.

8.5 PRODUCT STRATEGY AND POSITIONING

Product strategy takes shape side by side with the definition of target markets. Product strategy in the context of new products would mean finalisation of the product benefits features and attributes and developing growth strategy.

The Product Benefit distinct from a feature, which forms part of the physical design of the product, is a character that is of some value to the consumer. It helps to list your product benefits as they become important determinants of your positioning. For example, a benefit of a new lawnmower may be that it can be easily operated by elderly people. This benefit may be translated into a product feature in the form of rotor wheels to give easy maneuverability and relatively lighter weight material used. Feature and attribute definition in detail may bring you very close to the defining the product specification but it does help to bring the product profile into a sharp focus.

Product Positioning: Positioning in the market -place means deciding how the product will be perceived by potential customers. A product positioning statement should clearly show the end-use, and the benefit sought to be delivered.

8.6 PRICING THE NEW PRODUCT

Pricing the New Product is an important and careful decision. It is so because pricing will directly affect the sales volumes for the new products thereby generating revenue for the company

New Product Development and Implementation

$\text{Sales} = \text{Number of units sold} \times \text{Price (in rupees) per unit}$

New products require a strategic approach to pricing because they are unique. But their uniqueness is temporary and uncertain till the competitors offer their products on learning that the market acceptance for the new product is high.

On the contrary by pricing the product rationally and strategically the company can slow down the entry of competitors with new substitutes. But arriving at the optimum price for a new product is rather uncertain as there is no past experience to guide as to how the market will react to a new product at a given price.

Notwithstanding all the uncertainties described above, one should be clear that a new product should be priced in such a manner that it provides the company with---

- Reasonable profits,
- Reasonable and continued market share, and
- Reasonable unit wise sales.

Pricing Strategies

For a new product, there are two distinct pricing strategies available to product manager. These are:

- Skimming pricing, and
- Penetration pricing.

Skimming Pricing

Distinctly new and highly priced products which bridges a wide gap between the benefits offered by existing products. This pricing mechanism is characterised by high expenditure on promotion. This type of high pricing for a distinct product in the initial stage of its launch and then lowering the price when the competition enters has proven to be quite successful.

Examples of new products introduced with this type of pricing strategy are:

- Dove soap
- Van-Heusen readymade shirts
- Woodland footwear
- Cifran tablets

Such a pricing strategy works well when:

- 1). The unit wise sales of the product are not affected by the price at least in the early stages or till the time the product's substitutes flood the market.
- 2). The market is large and only those customers who can afford to buy the product. This ensures a profitable product.
- 3). The initial high price becomes a source to feel the demand and to cover the initial high cost of promotion. It is better to initially price the product high and then to reduce it when the competitors enter the market than to initially price it low and increase it later.

- 4). The objective is to earn initial high profits rather than initial high market share. The high price in the initial stage of the products life cycle usually ensures high profits. But on the other hand, high prices prevent the sales to mass market.

The alternative to high price is to introduce a new product at a low price so as to enter into the mass market at the initial stages of products life cycle. This pricing strategy is known as the penetration pricing.

Penetration Pricing

This alternate pricing mechanism suggests to price a new product low so as to appeal to a wide range of customers and to sell the product in large quantities with the objective of securing a large market share. This pricing strategy works well when:

- 1). The unit wise sales of the product are highly dependent on its price.
- 2). Sufficient economy of scale has been obtained and the costs of manufacturing have been brought down considerably.
- 3). The competitors are expected to enter the market very soon.
- 4). The buyers who can pay high price do not exist in the market.

Examples of new products adopted penetration pricing strategy are:

- Nirma washing powder.
- Peter England shirts.
- Maruti 800 cars.

It should be noted here that the price of an annually high priced product can be lowered at any stage of the product. This helps in stretching the product's life cycle by adopting the penetration pricing policy at a later stage while pursuing skimming pricing strategy at the initial stage.

Factors Affecting the New Product's Price

After having learnt the two pricing strategies for a new product, let us discuss the factors which influence and should be considered while deciding the price. These factors are:

Demand for the New Product

The projected demand more importantly the demand at three or four prices is one of the important factors affecting the price of a new product.

The nature or product would determine in estimating the demand for the new product. In case the product belongs to an entirely new product category, the procedure to estimate its demand will be different than for a new product which is new only for the company and not to the market.

In case of new product which belongs to a new category, the demand can be estimated by examining the number of customers who are dissatisfied with other products which, though belong to some other category, meet the same or related customer need.

In case of a new product which is new just for the company, the demand can be estimated by expecting a reasonable market share out of the total market of all the products in that product category.

COSTS

Determining and estimating various costs involved with the marketing of new products is the second most important factor affecting the pricing decisions.

Apart from estimating the costs of manufacturing, (which includes Direct Labour costs, Material costs, Costs of Special components required for manufacturing new product), the estimated sales and promotional expenses and the investment required for the new product should also be calculated as precisely as possible. It should be noted that all these costs should be estimated at various estimated demand projection.

MARKETING AND SALES OBJECTIVES:

Once the indicators of demand and costs are positive then setting objectives with respect to sales volume, market share, unit wise sales, expected profit and profitability etc are possible. The significance of determining all these variables lies in deciding the price of a new product. If at a given price 'x', the expected unit wise sale is 'y', the price 'x' will be fixed for the product by the management only if the profit 'z' and the sales volume are acceptable. If the management finds that all the measurements are below the acceptable limits, it may decide to fix the price of the product at a higher level.

8.7 PROMOTION OF THE NEW PRODUCT

While deciding the price of a new product, the quality, quantity and costs of promotion should be considered.

While deciding the type of promotion, one can either opt for a high promotion or a low promotion. Both these alternatives can be exercised with skimming price and penetration price. Thus, one can have four different options of price-promotion combination. This can be graphically represented as follows:

		PROMOTION	
		HIGH	LOW
PRICE →	HIGH	High Skimming A	Low Skimming B
	LOW	High Penetration C	Low Penetration D

In option A, both factors (price as well as promotion) are kept on a high. This type of a strategy works well for a product where the product has a mass-market appeal, the targeted customer can pay the demanded price, the market is relatively unaware of the benefits of the new product and the competition is expected to enter the market sooner or later. As the product is new, the company will be expected to spend a lot of money on its promotion so as to educate the targeted customers about its benefits. The high price, in such a case, is often the right decision as it provides a means to recover the high cost of promotion and still earn an appreciable profit.

Option B, on the other hand, suggests another interesting option for an intelligent marketer. In this case, the price of the product is high but the expenditure on the promotion is kept on low ebb. Such a price-promotion mix works well for a product, where the target market is not too large, and

is aware about the benefits of the product, it can pay the demanded price and the competition is not expected to enter the market very soon, or not at all. Such an option provides an opportunity to earn high profits for every unit sold as the price is high and the company is spending a low amount on the product's promotion.

In option C, a marketer decides to price the product on low ebb, while budgeting high amount on its promotion. Such a strategy is usually adopted by the marketers who target a quick and high market share. This strategy is good for a product which enjoys a mass-market, the market consists of a sufficiently large number of price-conscious customers and the competition is expected to enter the market.

Option D suggests low price and low promotion as one of the choices available. This option is good where the market for the product is not too large and the customers are price conscious.

DISTRIBUTION POLICY

After having considered the influence of costs, demand, objectives and promotion, let us consider as to how the channels of distribution influence the pricing of a new product.

In case of high price-high promotion or low price-high promotion strategy it will be expected that a large number of customers will throng the retail stores for the product. In such a case the product should be available at a large number of stores. This will involve high distribution costs. On the other hand the new product is new only for the company and its substitutes are available in the market, the distribution stores or retail store owners will have sufficient push potential. The company can ask the retail stores owners to exercise their push, by paying them higher margins or discounts. This will obviously influence the profitability for the company and the price.

Thus, while deciding the price of a new product, an avid marketer will consider all these factors which influence the decision.

Activity 4

Suggest pricing mechanism for the following new products scheduled for launch.

- a) Premium soap for men.
- b) Electric bike.
- c) Coconut water in tetra pack.
- d) New satellite television service provider

.....

.....

.....

.....

.....

.....

.....

.....

Promoting a New Product

Having decided upon and have implemented various aspects of product characteristics, and pricing decision, it's time to take appropriate decisions to optimize various promotion avenues and its budget.

Promotion is the life-line of a product's life-cycle. A product manager's time is involved in taking promotion decisions of one or the other kind. While the decisions regarding the product's attributes/features and pricing are, more often than not, one time decisions, the promotion decisions involve the marketers on a day-to-day basis.

SIGNIFICANCE OF PROMOTION

Before we dwell into the details of promoting a new product, let us try to understand the need to promote a new product.

Every marketer big or small wishes that the product should enjoy a long life generating profits. This objective would be achieved only when the product sells well. The product will sell only when a sufficiently large number of customers will buy the product. This is possible when all the potential customers are AWARE about the product, which further INTERESTS them creating a DESIRE to own the product and finally they will ACT and purchase the product. Thus, to achieve the goals of creating and developing Awareness, Interest, Desire and Action among the targeted customers, we need to promote our products and to even a greater extent our new products. And the stages mentioned above (awareness, interest, desire and action) are the stages of AIDA theory of selling.

Some researchers advocate the superiority of the theory of 'Adoption Process' over AIDA theory. The stages in the Adoption Process theory are as follows:

- **Awareness**

The targeted customers become just aware of the product but do not have the detailed information pertaining to its features and benefits.

- **Interest**

The consumer becomes interested in the product as she/he receives more information about the product.

- **Evaluation**

On the basis of the extra information received, consumer evaluates the likeness, of satisfying his need and then decides his buying decisions accordingly.

- **Trial**

The customer purchases the product just to try and ascertain to what extent it would satisfy both in terms of the, need and value for money.

- **Adoption**

The customer studies the satisfaction levels in the trial stage and later buys the product and uses it regularly in the adoption stage.

Though there are a couple of other but related theories, we should basically understand that the customer's needs information at different stages of either the AIDA theory or the theory of the Adoption Process.

Promotion strategy helps marketers achieve the goals of making the customers aware, interested, desirous and buying their product thus creating sales. And it is this promotion, (the intelligent, cost-effective, and most importantly, creative use of promotion tools which helps achieve all this).

This explains the significance of promotion.

The promotion Mix

The promotion-mix consists of four components,

- Advertising,
- Publicity,
- Sales Promotion, and
- Personal Selling.

Depending upon the nature and type of the new product (new to the category, new to the firm new to the industry) a marketer should exercise a blend of these components in desired permutations and combinations. All these components have varied significance for various types of new products. (Refer to course MMPC-006, Marketing Management), which discusses all the four components of promotion mix in detail.

Budgeting for Promotion

Enumerate all the promotional activities to be undertaken for the new product promotion. These activities should be grouped under various heads of promotion mix i.e. advertising, sales promotion and publicity. The budgeting for personal selling is usually avoided for a given product, as it links to the sales force which is common for all the product the budgeting for personal selling is performed at the corporate level.

Budgeting for advertising, sales promotion and publicity is planned as follows:

i) Budgeting for Advertising

This is usually planned by establishing a link with the expected unit wise sales of the product, the advertising medium, its frequency, reach and cost of advertising etc.

If the marketer wishes to sell 4, 00, 000 units of a new product in a month.

Assuming that one person needs 4 units of the product in a month. Thus it needs - 1, 00,000 customers in a month. Then

- | | | |
|---|---|-------------|
| ● Total sales units expected | = | 4,00,000 |
| ● Number of customers required | = | 1,00,000 |
| ● If 10 % of customers who are convinced, try the product, the number of customers to be convinced | = | 10,00,000 |
| ● If 10 % of customers who see the advertisement, are convinced, the number of customers who should see the advertisement | = | 1,00,00,000 |

New Product Development and Implementation

- If an advertisement has a reach of 10,00,000 customers. then the number of advertisements to be released = 10
- Cost of one advertisement = Rs.50,000
- Cost of 10 advertisements = Rs. 5,00,000
- Thus the advertising budget of 1 month = Rs. 5,00,000
- The advertising budget for 12 months = Rs.60,00,000

It should however be noted that Rs. 60 lacs will be the cost of just releasing the advertisement. The cost of producing the advertisement will be separate and will be added to Rs. 60 lacs to arrive at the total advertising budget.

ii) Budgeting for Sales Promotion

While budgeting for sales promotion various sales promotion activities should be planned for the complete year. All the sales promotion activities should be planned on a monthly basis. The cost of each activity should then be also allocated. The cost of all the individual activities put together gives as the total budget for sales promotion for a specific period.

Following illustration will help you to understand it more clearly.

Planning the Activities

Month	Sales Promotion Activity
April	a) Free distribution of samples. b) Putting up danglers at the retail shops. c) Putting up posters at the retail shops.
May	a) Free scheme of one unit free on purchase of one unit. b) Demonstration of product's performance at metro towns and A class cities.
June	a) Distribution of leaflets of the product in newspapers directly to households. b) Participation in trade exhibition.

COST IMPLICATIONS OF THE ABOVE ACTIVITIES

S.No	Particulars	Quantity	Rate (Rs.)	Amt. (Rs.)
1.	Free distribution of samples	1,00,000	10	10,00,000
2.	Putting up danglers at retail shops	1,00,000	5	5,00,000
3.	Putting up posters at retail shops	1,00,000	2	2,00,000
4	Free scheme of one unit free on purchase of one unit	4,00,000	20	80,00,000

5.	Demonstration of product's performance at metro towns and A class towns	500	1000	5,00,000
6.	Leaflets distribution in newspapers to households.	5,00,000	1	5,00,000
7	Participation in trade exhibition	1	2,00,000	2,00,000
			Total Rs.	1,09,00,000

Having planned sales promotion activities for 3 months, the budgeted expenditure is Rs.1.09 Cr. Similarly, one can plan for all the 12 months.

While budgeting the sales promotion expenses for the activity number 4 , we have budgeted 4,00,000 units as free units since we expect the sales to be 4,00,000 units , one unit free on purchased of 4,00,000 units would mean that have to give 4,00,000 units as free . We have budgeted Rs. 20/- per unit as this is the cost of manufacturing of one unit, through the selling price is Rs. 70/ per unit. Thus the company earns a gross profit of Rs. 50 per unit .While providing one free unit on purchase of one unit, the cost to the company is Rs. 20 per unit, thus the budgeting of Rs.20 unit in item No. 4 above.

iii) Budgeting for Publicity

While budgeting for publicity, the marketer can negotiate with an external agency specializing in publicity.

Usually a contract is established between the company and the agency on fixed terms and fees. This fee becomes the budget for publicity.

It is responsibility of the external agency to contact various media persons or to organize press-conferences. The executive from the organisation voice their views on the new product which are then published in the print-media.

More companies are finding the benefits of publicity and are fast, switching, large portions of their promotional budgets to publicity component.

Distribution of the New Product

Though, distribution is a specific function within the organisation, yet this function has a strong interface with the product managers. This is particularly true in case of new products

In the era of tough competition and with the availability of substitutes of all the products in abundance, every customer wishes that the products of his choice should be available at the nearest stores. Unless the product is unique, the customer will not walk an extra mile to purchase the brand of his choice. This may not be the case if the customer is a brand loyalist. But then in this fast paced world can one expect a customer to remain brand loyal for a long period of time? Furthermore, in case of a new product, one cannot expect the brand loyalists to emerge from day one. Thus it becomes very important for the organisation to make the new product available at

most of the retail stores for that category of products. It is in this context the role of product manager assumes significance. Distribution managers by and large are responsible for the proper distribution of the complete range of the products of the organisation. Hence in the process of ensuring the proper distribution of other products they may tend to overlook the proper distribution of the new product thus inadvertently jeopardising the success of the new product. This may also occur because it takes some time for the personnel of the organisation in getting familiarised with the new product.

This results in the enhanced responsibility of the product manager handling the new product. The product manager is one who is more interested in the success of new venture. There by require to be a lot more persuasive in getting things done for the new product by other offices concerned who are indirectly linked with the success of the product and without whose cooperation it would be a difficult task for any individual to succeed with his new offering.

The urge to ensure the proper distribution of the new product, the product manager ought to be prepared with the following:

PLAN FOR SALES EXPECTATIONS

The product manager is the best informed person in the organisation about the product. He has the pulse of the market, the competition, the technical superiority of his product, the marketing strategy for the product etc. He should share all the relevant information pertaining to new product with all the sales managers, and with their help, should prepare the sales expectations. While doing so, He/She should also consider the relevant published data with regard to sales of such products and also sales of the competitor's products and the most appropriate scientific sales forecasting methods.

Having completed the task of defining the sales objectives for the company, the market should be divided on the basis of territories, regions, states and zones. The manager should also be aware about the channels of distribution of the company and on the basis of the sales expectations, should chalk out the quantities required to be available at each distribution point.

Once the manager has completed this exercise, it needs to be co-ordinated with production department and inform the requirements for the new product. These requirements should be informed to the production people on a monthly basis.

PLAN THE LAUNCH SCHEDULES

The product manager should plan a detailed launch schedule of the new product. He should plan conferences for sales personnel and educate and share all information possible to them with regard to the new product. This enables the sales force to build up their confidence level in the new product and helps them to sell the product in due course. It is essential that the product manager and the technical personnel who are directly involved in new product should sell the product internally to the sales team boosting their confidence levels and later expect them to sell to the ultimate end-users.

While planning the launch schedule, a product manager should also ensure that the product would be available with the retailers much in advance prior to the official launch.

Assume the launch date as	X
Suppose it takes 7 days for the stock to reach the retailers from the stockists, then it should be available at stockists	X -7 days
Suppose it takes 15 days for the stock to reach the stockist from the depot, then the product should be available at the depots	X -22 days
Suppose it takes 15 days for the stock to reach depots from the factory, then the stocks should be ready at the factory	X -37 days

From the above it is obvious, that the product manager should ensure that the stocks are available in consumption condition at the factory premise at least 37 days in advance from the launch date.

CO-ORDINATE WITH THE DISTRIBUTION MANAGER

Once the product manager is ready with the launch plan and the product at the factory premise, the manager needs to co-ordinate with the distribution department to ensure that the product reaches the depots as per the planned date. Subsequently, to co-ordinate with the respective depot managers and to ensure that the stocks are further sent to the stockists as per the planned dates.

INFORM THE SALES PERSONNEL

The product manager should ensure the sales team that the stocks of the new products are available with the stockists and in turn they should ensure that the same are available with the retailers before the launch dates.

The most important activity in ensuring the proper distribution is making the product available at the retailers so that the customer is catered accordingly.

8.8 SUMMARY

Products launch always poses an interesting yet a challenging task to the marketer. There are different types of new products and it is very important to understand it because it influences the marketing strategy. The strategy for a product which is new just for the company should have different elements than a product which is new for the category.

Though the launch of a new product always carries a financial risk for the company in the event of it being a failure, the need for new products are so overwhelmingly wide that a company has to resort to the process.

Different companies have different personnel or group of personnel who are bestowed with Product Launch the responsibility of new product launch. While some companies have the regular product managers responsible for the same, some others have new product managers. Some companies even have new product committees for the job.

The process of the launch of a new product starts with the idea of the product itself. There are few techniques which can be relied upon to come out with good ideas about the product. These include competitors' analysis, product audit, product augmentation, marketing research, etc.

While deciding about the price of a new product one can choose from different strategies like skimming price and penetration price. The decision about a particular pricing strategy is influenced by demand, costs, objectives, promotion, distribution policy etc.

The decision about promoting the new product is equally significant as this would enable to communicate with target audience. The promotion mix (which consists of advertising, publicity, sales promotion, personal selling), budgeting for promotion (which consists of budgeting for advertising, sales promotion and publicity) are touched upon.

Lastly co-coordinating with distribution department is considered at the most crucial responsibility of the product manager. Distribution alone can decide the success or failure of a new product.

8.9 SELF-ASSESSMENT QUESTIONS

1. What are the steps involved in the launch of a new product in the market?
2. What factors decide companies to offer new products? Should new products aim at short term or long term business strategy? Discuss.
3. Assuming you have been assigned the task of launching a new product (any FMCG). Discuss how you would go about planning your launch mix.

8.10 REFERENCES/FURTHER READINGS

Burns, T. and Stalker C., *The Management of Innovations* (London: Tavistock Publications. 1961).

Kaushal, O.P. (ed.), *Product Management* (Bombay: Lalvani Publishing House, 1969).

Mascarenhas, S.J., O.A.J., *New Product Development: Its Marketing Research and Management* (Calcutta: Oxford & IBH Publishing Co. (P) Ltd., 1987).

Midgley, D.F., *Innovation and New Product Marketing* (London: Croom Helm, 1977). *New Products Management for the 1980s* (NY: Booz, Allen & Hamilton, 1982). Osborn, A.F., *Applied Imagination*, 3rd ed. (NY: Scribner's, 1963).

Parnes, S.J. and Harding, H.F. (eds.), *Source Book for Creative Thinking* (NY: Scribner's, 1962).

Pessemier, E.A., *Product Management: Strategy and Organization* (NY: John Wiley & Sons, 1977).

Rothberg, R.R., *Corporate Strategy and Product Innovation* (NY: The Free Press, 1976).

Sachs, W.S. and Benson, G., *Product Planning and Management* Oklahoma: Penn Well Publishing Company, 1981).

Urban, G.L. and Hauser, J. R., *Design and Marketing of New Products* (NJ: Prentice- Hall, Inc., 1980).